

Singapore Banks

NIMs are a concern, but that's about it; resuming coverage of OCBC at N

Singapore banks have been able to build a significant degree of revenue resilience in last decade, which is leading to RoEs sustaining at high levels. Our 2026-27 RoE forecasts for all three banks are higher than 2019, when Singapore interest rates were close to similar levels. The y/y decline in NIM this and next year (14/9bps, resp.) will limit re-rating, but that's where the cautious thesis ends. Wealth management has added 8-11% to revenues in last 7 years, while treasury sales have added another 6-10%. Further, the CIR for these businesses are in-line to better than group. Even more importantly, these profits are capital efficient; hence RoRWA for the three banks are up ~40bps in 2026-27 vs. 2019. Hence, despite our 2025-27 forecasts for three banks being 1-3% below Street, we stay Neutral on all three. We resume coverage on OCBC with N rating with Jun-26 PT of \$18 (UW rating and Dec-24 PT of S\$12.50 before restriction).

- Stock picks in the next 3M:** We are wary going into 2Q earnings, as the extent of NIM compression (7-8bps q/q) will likely drive near-term stock price weakness. 3M SORA is down 48bps on average in 2Q, and 3M Hibor is down ~140bps. DBS/OCBC have 10-11% of loans in HKD (2014). Given the retail presence of these banks in HK, funding should be more closely FX matched. The usual lag in deposit repricing will weigh on NIMs. At UOB, HKD loans is <10% of total, but possibly a larger part (~45%) is funded via USD swaps. Hence, q/q NIM risk at UOB may be more pronounced, given the 277bps gap that had opened between 3M SOFR and Hibor as of end 2Q. NIM compression will be partly offset by strength in treasury. Yet, given that investors tend to pay a higher multiple for NII vs. treasury income, the stock may be weaker vs. peers into numbers. WM should remain firm at all three, with higher hedging demand helping treasury/fees as well. DBS may hold revenues better on these.
- Stock drivers in the next 12M:** The crux of the investment thesis is driven by the sustainability of capital return (divi/buyback); as growth and AQ are not meaningful for now. The extent of weakness post 2Q results and tariff/USD related volatility could create opportunities to scale up positions. Consensus and guidance on NIM will come off next month, which could lead to an overreaction. Pass-through assumptions from USD to SGD (60-70%) rates implicitly presume a steady or firm \$. If this changes, so will RoA/RoE/DY expectations. A firmer USD could lead to reversal of flows from weak \$ beneficiaries (EM banks, [link](#)); which could lead to better performance for SG banks. DBS continues to stand out in this regard; but valuations (12x/1.9x FY25E PE/PB) limit our enthusiasm. OCBC is undergoing a change in

APAC Banks

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target		
					Cur	Prev	Cur	End Date	Prev End Date
DBS Group Holdings	DBS SP	102,002	SGD	45.99	N	n/c	48.00	Jun-26	47.00 n/c
OCBC Bank	OCBC SP	59,351	SGD	16.89	N	NR	18.00	Jun-26	— —
United Overseas Bank (UOB)	UOB SP	47,884	SGD	36.86	N	n/c	38.00	Jun-26	37.00 n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 11 Jul 25.

See page 31 for analyst certification and important disclosures, including non-US analyst disclosures.

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management ([link](#)), which may weigh on the stock unless the communication from the incoming CEO suggests a sharp increase in payouts. UOB's target of 14% RoE by 2026 seems ambitious, limiting re-rating. We expect range-bound trading for the three stocks in the next 12M, with tactical opportunities. For DBS, a range of 1.6x to 2.0x PB, while for OCBC and UOB, a range of 1.0 to 1.3x PB appears plausible; save for AQ related issues.

- **Valuations/yields:** The case for DBS trading at a premium is fairly clear, with 15-16% RoE in 2025-27, ~320bps above peers. Further, DY at DBS at 6.7-7.6% is about 100bps above UOB and OCBC. Between the latter two, differentiation is tougher. RoE at UOB is about 20bps higher than OCBC. This is primarily due to lower payout at OCBC, which may change now that corporate action related to GEI is behind us. Hence, we expect the pair to trade in a volatile range in the next 12M vs. almost a narrow 10% band over the last 12M.

Higher RoEs, but lower NIMs

Singapore banks have been able to build a significant degree of revenue resilience in the last decade, which is leading to RoEs sustaining at high levels. Our 2026-27 RoE forecasts for all three banks are higher than 2019, when Singapore interest rates were close to similar levels. The y/y decline in NIM this year and the next (14/9bps, resp.) will limit re-rating, but that's where the cautious thesis ends. Wealth management has added 8-11% to revenues in the last 7 years, while treasury sales have added 6-10%. Further, the CIR for these businesses is in-line with better than group. Even more importantly, these profits are capital efficient; hence RoRWA for the three banks is up ~40bps in 2026-27 vs. 2019. Hence, despite our 2025-27 forecasts for the three banks being 1-3% below the Street, we stay Neutral on all three. We resume coverage on OCBC with N rating and a Jun-26 PT of \$18 (UW rating and Dec-24 PT of S \$12.50 before restriction).

We hold Neutral across SG banks, given near-term NIM risks, offset by improving ROE

Table 1: Singapore Banks: Valuation table

Bank	Price (\$)	Rating	PT (\$)	PE (x)			PB (x)			Dividend Yield (%)			RoE (%)		
				2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
DBS	45.99	N	48.00	11.9	11.7	11.6	1.89	1.79	1.77	6.7	7.2	7.6	16.1	15.6	15.3
OCBC	16.89	N	18.00	10.4	10.3	10.0	1.27	1.22	1.16	6.0	6.1	6.2	12.4	12.0	11.9
UOB	36.86	N	38.00	10.4	10.0	9.5	1.26	1.20	1.14	5.5	6.0	6.5	12.3	12.3	12.4
Sector				11.4	11.2	10.9	1.69	1.60	1.57	6.3	6.8	7.2	14.9	14.6	14.4

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Priced at close of 11 July 2025

Resuming coverage of OCBC at Neutral

Table 2: Singapore Banks: PT and rating changes

Bank	Old rating	New rating	Old PT (\$)	New PT (\$)	Change in PT
DBS	N	N	47.0	48.0	2%
OCBC	NR	N	NA	18.0	n.a
UOB	N	N	37.0	38.0	3%

Source: J.P. Morgan estimates.

Our EPS estimates are slightly below the Street, and we expect range-bound earnings over the next 3Y

Table 3: Singapore banks: EPS revisions

EPS	EPSg y/y			JPM vs Street			JPM revisions		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
DBS	-3%	2%	1%	-1%	-2%	-4%	-1%	-1%	-1%
OCBC	-3%	1%	4%	0%	-1%	-2%	n.a	n.a	n.a
UOB	-1%	4%	6%	-1%	-2%	-3%	-1%	-1%	-2%
Average	-2%	2%	3%	0%	-1%	-3%	-1%	-1%	-1%

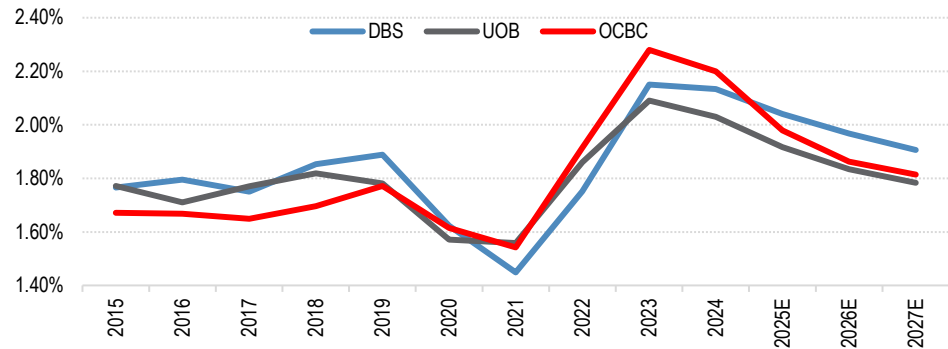
Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Expect 14bps/9bps NIM compression in FY25/26E

ROEs remain higher in 2026-27E vs. 2019

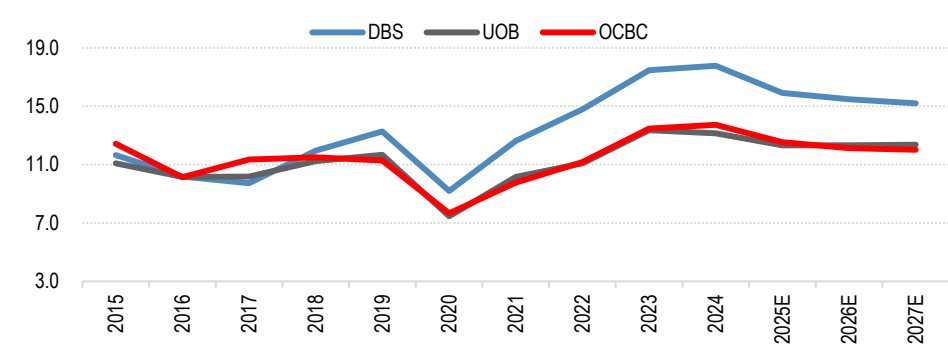
WM has been an important driver, with recent trends also suggesting growth

Figure 1: Singapore Banks: Annual NIM



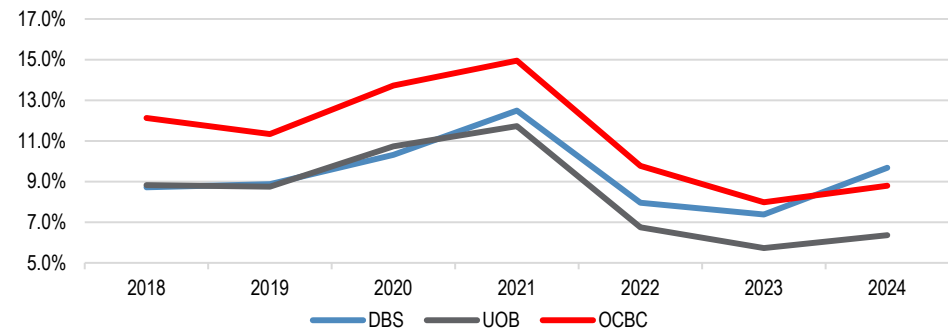
Source: Company reports and J.P. Morgan estimates.

Figure 2: SG banks ROE trends



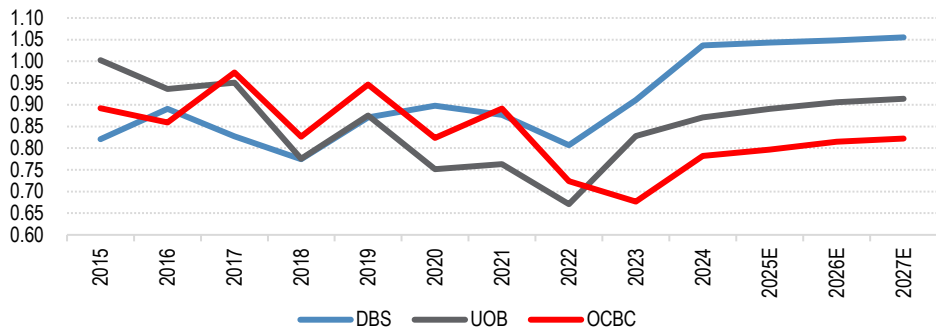
Source: Company data, J.P. Morgan estimates

Figure 3: Wealth management as % of revenues



Source: Company data, J.P. Morgan. WM fees for DBS, WM fees + fund management for UOB, WM fees + brokerage + fund management for OCBC.

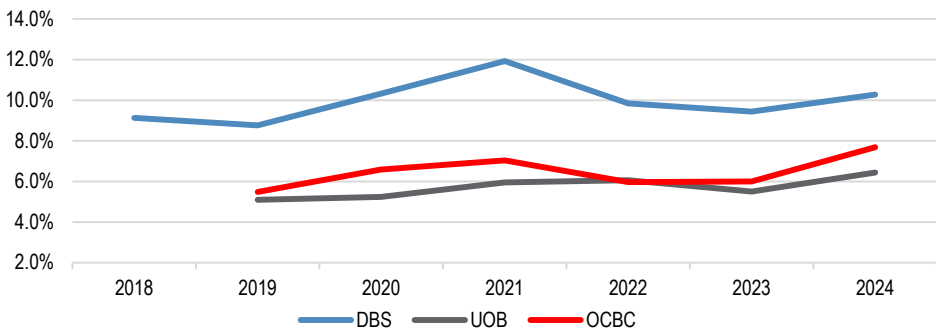
Figure 4: Singapore Banks: Non-IT/Assets



Source: Company reports and J.P. Morgan estimates.

Banks have built up recurring flow businesses including treasury

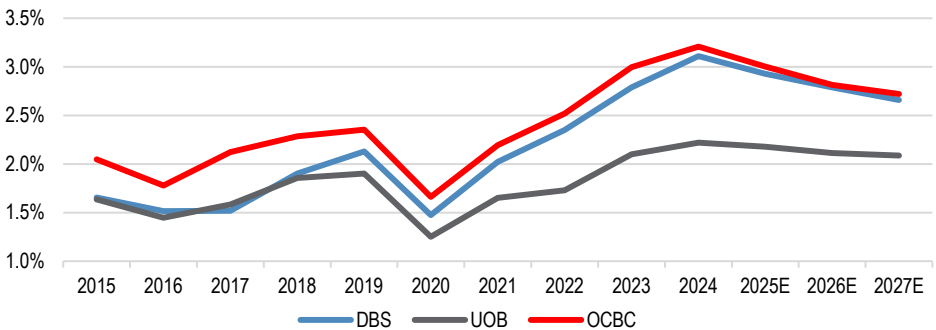
Figure 5: Treasury customer flow as % of revenues



Source: Company data, J.P. Morgan.

RoRWA has improved with a shift to less capital intensive businesses

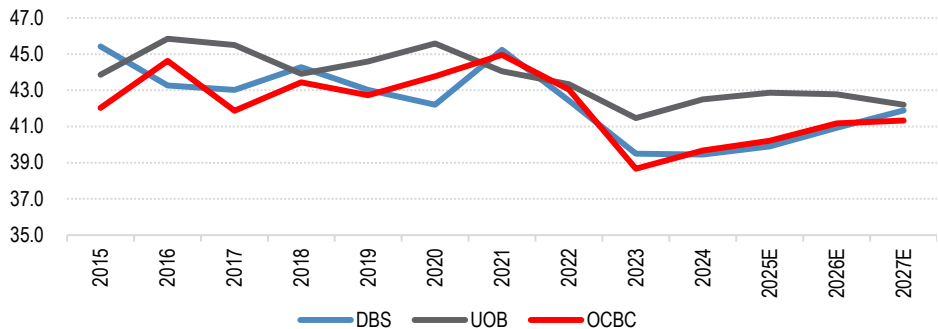
Figure 6: SG banks RoRWA trend



Source: Company data, J.P. Morgan estimates

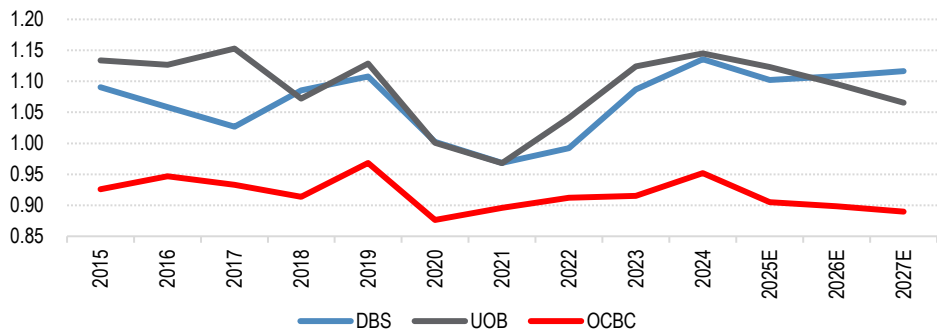
Expect CIR to remain below longer-term averages given the shift to less cost intensive businesses

Figure 7: Singapore Banks: Cost to Income ratio



Source: Company reports and J.P. Morgan estimates.

Figure 8: Singapore Banks: Costs/Assets



Source: Company reports and J.P. Morgan estimates.

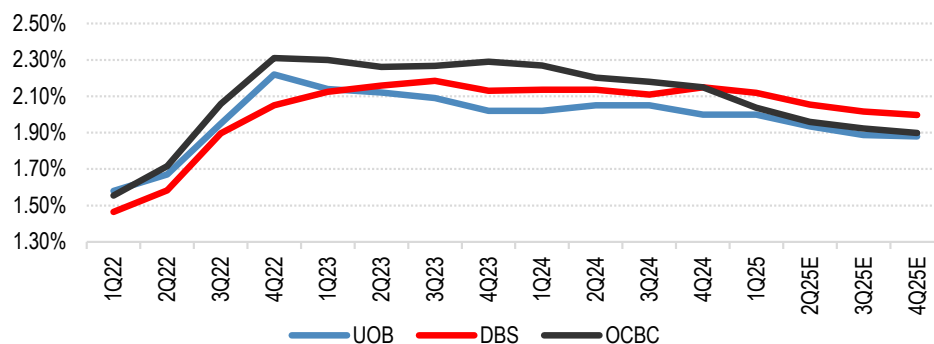
Margin delivery and guidance at risk in 2Q

We are wary going into the 2Q earnings season, as the extent of NIM compression (7-8bps q/q) will likely drive near-term stock price weakness. 3M SORA is down 48bps on average during the quarter, while 3M Hibor is down ~140bps.

DBS and OCBC have 10-11% of loans denominated in HKD (2014). Given the retail presence of both these banks in HK, funding should be more closely FX matched. The usual lag in deposit repricing will weigh on NIMs. At UOB, HKD loans are <10% of total, but possibly a larger part of these loans (~45%) is funded via USD swaps. Hence, q/q NIM risk at UOB may be more pronounced, given the significant gap that had opened between 3M SOFR and Hibor (277bps on 30 June).

Part of this NIM compression will be offset by strength in treasury income at the bank. Yet, given that investors tend to pay a higher multiple for NII vs. treasury income, the stock may be weaker vs. peers into numbers. WM should remain firm at all three, with higher hedging demand helping treasury/fees as well. DBS may hold revenues better on these.

Figure 9: Singapore banks: Quarterly NIM



Source: Company reports and J.P. Morgan estimates.

On SGD, UOB has slightly higher exposure vs. peers, at 43% vs. 37-38% for DBS/OCBC, while USD exposure is lower than peers.

Table 4: Singapore Banks: Loan mix by currency

Loan mix by currency (2024)	DBS	OCBC	UOB
SGD	38%	37%	43%
USD	25%	21%	18%
MYR		6%	9%
IDR		3%	2%
HKD	10%	11%	
CNY	5%	4%	
THB			7%
Others	22%	17%	20%
Total	100%	100%	100%

Source: Company data.

OCBC appears most closely matched, with 10% of deposits in HKD; DBS has 6% of deposits in HKD vs. 10% of loans

Table 5: Singapore Banks: Deposit mix by currency

Deposits mix by currency (2024)	DBS	OCBC	UOB
SGD	36%	37%	45%
USD	40%	35%	26%
MYR		5%	8%
IDR		3%	2%
HKD	6%	10%	
CNY	4%	3%	
THB			7%
Others	14%	8%	12%
Total	100%	100%	100%

Source: Company reports.

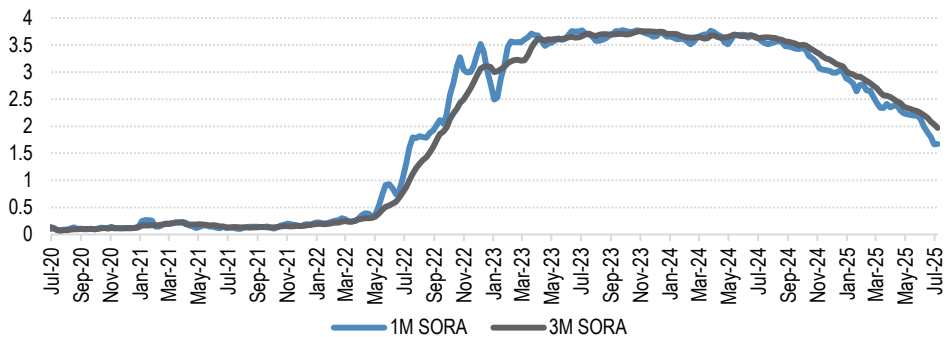
Table 6: Singapore Banks: Impact of SORA/HIBOR on NIM

	1Q25	2Q25E	3Q25E	4Q25E
SORA 3M	2.8%	2.3%	1.9%	1.9%
Decline		-0.5%	-0.4%	0.0%
Share of loan book	40.0%			
Passthrough	50-60%			
AY/NIM impact		-0.11%	-0.09%	0.00%
HIBOR 3M	3.9%	2.5%	2.0%	2.0%
Decline		-1.4%	-0.5%	0.0%
Share of loan book	10.0%			
Passthrough	70.0%			
AY/NIM impact		-0.10%	-0.04%	0.00%
SOFR	4.3%	4.3%	4.3%	4.1%
		-0.01%	0.00%	-0.25%
Share of loan book	20.0%			
Passthrough	70.0%			
AY/NIM impact		0.00%	0.00%	-0.04%
Total AY impact		-0.21%	-0.13%	-0.04%
CoF offset				
Share of deposits	45%			
Decline		0.13%	0.08%	0.02%
Net NIM impact		-0.08%	-0.05%	-0.01%

Source: J.P. Morgan estimates.

SORA continues to decline into 3Q

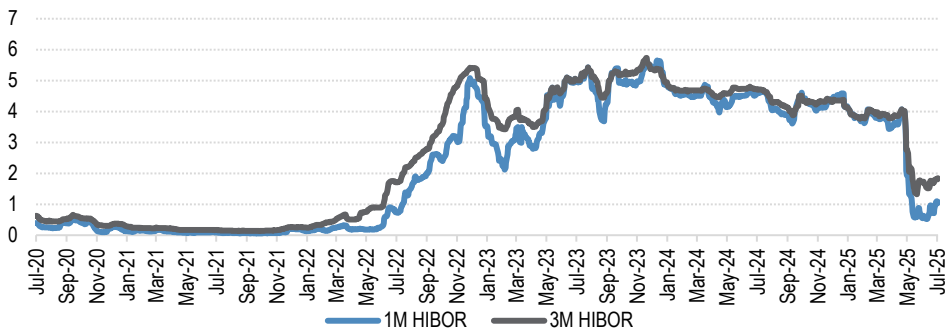
Figure 10: 3M SORA vs 1M SORA (%)



Source: Bloomberg Finance L.P.

Sharp decline in HIBOR poses risks to
2Q/3Q NIM for Singapore banks

Figure 11: 3M HIBOR vs 1M HIBOR



Source: Bloomberg Finance L.P.

Capital management and USD to shape stocks in the next 12M

The crux of the investment thesis is driven by sustainability of capital return (divi/ buyback); as growth and AQ are not meaningful for now. The extent of weakness post 2Q results and tariff/USD related volatility can create opportunities to scale up positions. Consensus and guidance on NIM will come off next month, which could lead to an overreaction. Pass-through assumptions from USD to SGD (60-70%) rates implicitly presume a steady or firm \$. If this changes, so will RoA/RoE/DY expectations. A firmer USD could lead to reversal of flows from weak \$ beneficiaries (EM banks, [link](#)); which could lead to better performance for SG banks. DBS continues to stand out in this regard; but valuations (12x/1.9x FY25 PE/PB) limit our enthusiasm. OCBC is undergoing a change in management ([link](#)), which may weigh on the stock unless the communication from the incoming CEO suggests a sharp increase in payouts. UOB's target of 14% RoE by 2026 seems ambitious, limiting re-rating. We expect range-bound trading for the three stocks in the next 12M, with tactical opportunities. For DBS, a range of 1.6x to 2.0x PB, while for OCBC and UOB, a range of 1.0 to 1.3x PB appears plausible; save for AQ related issues.

Expect DPS and buybacks to remain elevated, with DBS offering total yields of ~8% on average

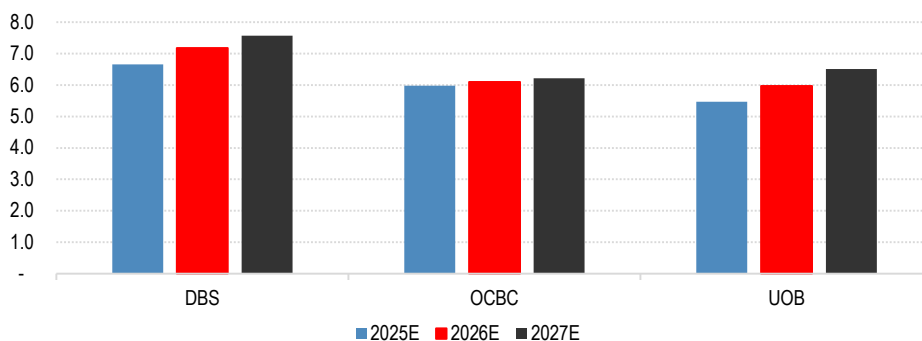
Figure 12: SG banks buyback and DPS expectations

SG Banks yields	DBS			OCBC			UOB		
	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E
Regular DPS	2.46	2.70	2.88	0.81	0.82	0.85	1.76	1.95	2.15
Special DPS	0.60	0.60	0.60	0.20	0.21	0.20	0.25	0.25	0.25
Total DPS	3.06	3.30	3.48	1.01	1.03	1.05	2.01	2.20	2.40
Yield									
Regular	5.3%	5.9%	6.3%	4.8%	4.8%	5.0%	4.8%	5.3%	5.8%
Special	1.3%	1.3%	1.3%	1.2%	1.3%	1.2%	0.7%	0.7%	0.7%
Total	6.7%	7.2%	7.6%	6.0%	6.1%	6.2%	5.5%	6.0%	6.5%
Total buyback (\$\$ mn)	1,500	1,500	1,500	750	750	750	750	750	750
Buyback amt. per share	0.54	0.54	0.55	0.17	0.17	0.17	0.45	0.46	0.46
Yield on buyback	1.2%	1.2%	1.2%	1.0%	1.0%	1.0%	1.2%	1.2%	1.3%
Total yields	7.8%	8.4%	8.8%	7.0%	7.1%	7.2%	6.7%	7.2%	7.8%

Source: J.P. Morgan, Bloomberg Finance, L.P.

Expect dividend yields to be ~7% for DBS and ~6% for UOB/OCBC

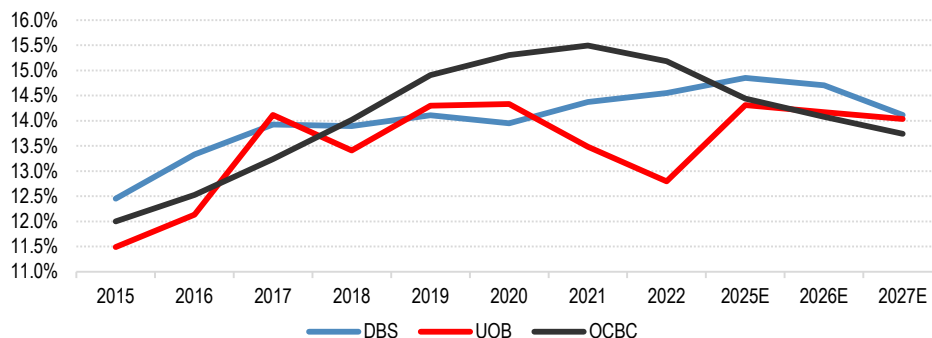
Figure 13: Singapore Banks: Dividend yields (%)



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Elevated CET1 post Basel 3 endgame allows for capital management

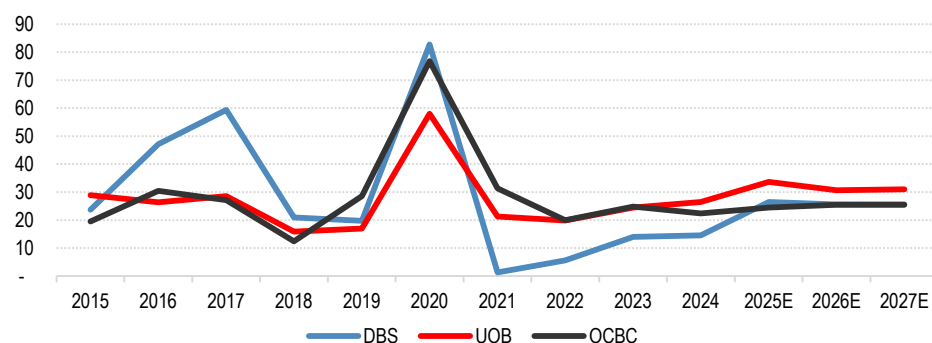
Figure 14: Singapore Banks: CET1 ratio



Source: Company reports and J.P. Morgan estimates.

Expect credit costs to remain range-bound, as AQ has remained stable

Figure 15: Singapore Banks: Credit costs (bps)



Source: Company reports and J.P. Morgan estimates.

OCBC has appointed Tan Teck Long as Group CEO effective 1 January 2026, succeeding Helen Wong, who will be retiring at the end of the year. Tan will assume the role of Deputy CEO effective immediately. Please see brief background of incoming CEO Tan Teck Long below:

- Appointed Group Managing Director and Head of Global Wholesale Banking on 15 March 2022
- Joined OCBC from DBS Bank, where he was Group Chief Risk Officer
- Held senior roles at DBS Bank, including Group Head of Corporate Banking, Head of Institutional Banking Group (China), Group Head of Special Assets Management, and Group Head of Corporate Real Estate Strategy and Administration
- Serves as director on the boards of Bank of Ningbo and Maxwealth Fund Management Company
- CFA charterholder and a Fellow Chartered Accountant of Singapore
- Holds a Master of Business Administration from the University of Manchester and a Bachelor of Accountancy with First Class Honours from the National University of Singapore

Valuations and yields

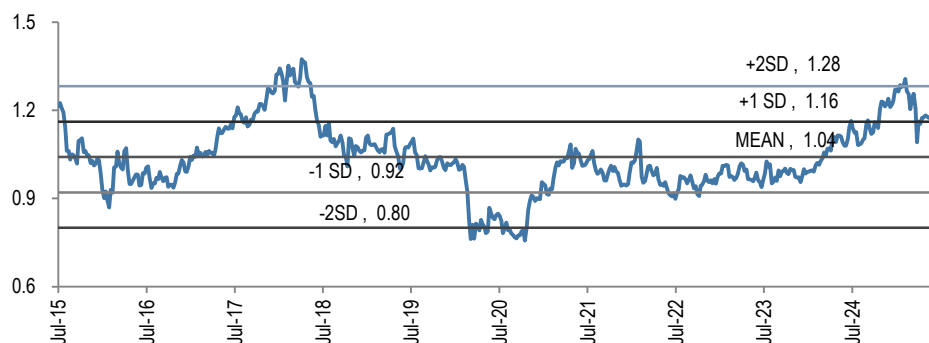
The case for DBS trading at a premium is fairly clear, with 15-16% RoE in 2025-27, ~320bps above peers. Further, DY at DBS at 6.7-7.6% is about 100bps above UOB and OCBC. Between the latter two, differentiation is tougher. RoE at UOB is about 20bps higher than OCBC. This is primarily due to lower payout at OCBC, which may change now that corporate action related to GEI is behind us. Hence, we expect the pair to trade in a volatile range in the next 12M vs. almost a narrow 10% band over the last 12M.

Figure 16: DBS 12m fwd PB



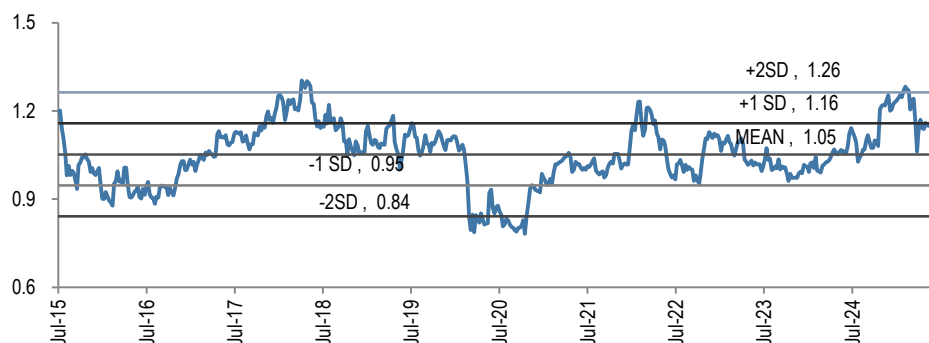
Source: Bloomberg Finance, L.P.

Figure 17: OCBC 12m fwd PB



Source: Bloomberg Finance, L.P.

Figure 18: UOB 12m fwd PB



Source: Bloomberg Finance, L.P.

Neutral

DBSM.SI, DBS SP

Price (11 Jul 25): S\$45.99

▲ **Price Target (Jun-26): S\$48.00**

Prior (Jun-26): S\$47.00

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Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)

	2024A	2025E	2026E
Q1	1.04	1.02A	
Q2	0.98	1.00	
Q3	1.06	0.94	
Q4	0.89	0.85	
FY	3.97	3.81	3.86

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	10	10	13	10	13
Growth	32	10	26	29	94
Momentum	51	7	4	57	57
Quality	10	1	7	29	29
Low Vol	51	13	10	44	13
ESGQ	87	25	87	17	18

DBS Group Holdings

Best-in-class; and reflecting this

The bank is paying out almost its entire profits in terms of dividends and buyback over 2025-27. Management's guidance of increasing DPS in the 4Q of this year and the next, along with buybacks has led to a high degree of confidence in the sustainability of capital returns. Moreover, the underlying businesses are working well (rates, WM flows coming to SG, hedge ratios improving), and are being run well at the bank (tech stack, low CIR, relatively low credit risk). Hence, the bank is able to capture profit pools across markets and segments such as deposit franchise, payments, mortgages, WM and treasury sales. Valuations at 11.9/11.8x 2025/26E PE and 1.89/1.79x 2025/26E PB for 16.1/15.6% 2025/26E RoE limit sharp upside. Hence, we hold N on the stock, while acknowledging that any weakness will allow opportunities to increase positions, as long as AQ holds and the bank does not do a value eroding acquisition. We tweak our PT up to \$48 on a slight increase in PB, driven by our ROE expectations for the next three years.

Valuation

Table 7: DBS: Valuation

	Core Net (\$\$ mn)	Core EPS (\$\$)	P/E (x)	BVPS (\$\$)	P/B (x)	Dividend (\$\$)	Div Yld (%)	Core RoA (%)	Core RoRWA (%)	Core RoE (%)
2021	6,801	2.41	19.1	19.5	2.36	1.09	2.4%	1.01%	2.02%	12.6%
2022	8,193	2.89	15.9	19.2	2.39	1.82	4.0%	1.13%	2.35%	14.8%
2023	10,286	3.63	12.7	21.0	2.19	1.75	3.8%	1.38%	2.85%	17.9%
2024	11,408	4.01	11.5	23.4	1.97	2.22	4.8%	1.45%	3.14%	18.0%
2025E	10,859	3.85	11.9	24.3	1.89	3.06	6.7%	1.28%	2.95%	16.1%
2026E	10,886	3.91	11.8	25.6	1.79	3.30	7.2%	1.24%	2.81%	15.6%
2027E	10,904	3.96	11.6	25.9	1.77	3.48	7.6%	1.19%	2.68%	15.3%
Price (\$\$)		45.98	Number of shares (mn)			2,837	Market Cap (\$\$ mn)			130,448
Normalised RoE		PB based Valuation				PE based Valuation				
NIM (on avg. assets)		1.66%	Risk-free rate			4.20%	Fair PE			11.7x
Non-IR/revenues		37.9%	Cost of capital			9.2%	12m Rolling EPS			\$S3.88
Cost/income		41.4%	Long term growth			1.50%	PE based Fair Value			\$S45.5
Operating RoA		1.57%	Fair PB			1.79x	Implied Value of Growth			
LLP/Loans		-0.25%	PV of Terminal Value			\$S40.8	12m Rolling EPS			\$S3.88
Net RoAA		1.22%	PV of Dividends			\$S2.9	Capitalized Value (\$\$)			\$42.2
Equity/Assets		8.0%	PV of today's Fair Value			\$S43.7	Value of Growth (\$\$)			\$3.8
Normalised RoE		15.3%	PB based Jun-26 Fair Value			\$S47.7	Attributable to Growth			8.3%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual earnings

Table 8: DBS: Annual P&L

S\$ in mn	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	9,644	9,748	10,833	13,798	15,592	12,208	10,185	15,927	27,862	30,927	29,964	29,516	29,479
Interest Expense	(2,544)	(2,443)	(3,042)	(4,843)	(5,967)	(3,132)	(1,745)	(4,986)	(14,220)	(16,503)	(15,439)	(14,925)	(14,781)
Net Interest Income	7,100	7,305	7,791	8,955	9,625	9,076	8,440	10,941	13,642	14,424	14,525	14,591	14,699
Non-Interest Income	3,687	4,184	4,133	4,137	4,919	5,516	5,857	5,768	6,752	8,123	8,816	9,216	9,634
Net Fee income	2,144	2,331	2,622	2,780	3,052	3,058	3,524	3,091	3,384	4,168	4,710	4,945	5,193
Trading income	1,204	1,357	1,058	1,178	1,459	1,405	1,791	2,313	1,369	1,541	1,572	1,635	1,700
Other operating income	339	496	453	179	408	1,053	542	364	1,999	2,414	2,535	2,636	2,742
Total Revenues	10,787	11,489	11,924	13,092	14,544	14,592	14,297	16,709	20,394	22,547	23,341	23,807	24,333
Costs	(4,900)	(4,972)	(5,130)	(5,798)	(6,258)	(6,158)	(6,469)	(7,090)	(8,056)	(8,895)	(9,311)	(9,742)	(10,194)
PPOP	5,887	6,517	6,794	7,294	8,286	8,434	7,828	9,619	12,338	13,652	14,030	14,064	14,139
Loan loss provisions	(672)	(1,395)	(1,879)	(708)	(704)	(3,063)	(51)	(234)	(591)	(623)	(1,181)	(1,189)	(1,246)
Other provisions	(71)	(39)	(15)	(2)	1	(3)	(1)	(3)	(8)	(22)	(11)	(6)	(3)
Other income	14	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	5,158	5,083	4,900	6,584	7,583	5,368	7,776	9,382	11,739	13,007	12,837	12,869	12,891
Tax	(727)	(723)	(727)	(974)	(1,116)	(612)	(973)	(1,188)	(1,452)	(1,598)	(1,977)	(1,982)	(1,985)
MI & EO	(113)	(122)	(133)	(76)	(38)	(35)	(2)	(1)	(1)	(1)	(1)	(1)	(1)
Core profit	4,318	4,238	4,040	5,534	6,429	4,721	6,801	8,193	10,286	11,408	10,859	10,886	10,904
Attributable profit	4,454	4,238	4,371	5,577	6,391	4,721	6,801	8,193	10,062	11,289	10,759	10,786	10,804

Source: Company reports and J.P. Morgan estimates.

Table 9: DBS: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.80%	1.75%	1.85%	1.89%	1.62%	1.45%	1.75%	2.15%	2.13%	2.04%	1.97%	1.91%
IEA/Assets	89.5%	86.6%	89.1%	90.5%	90.2%	91.0%	87.2%	87.4%	85.6%	86.3%	84.3%	84.4%	84.5%
Margins (% of avg. Assets)	1.58%	1.56%	1.56%	1.68%	1.70%	1.48%	1.26%	1.53%	1.84%	1.84%	1.72%	1.66%	1.61%
Non-IR contribution	34.2%	36.4%	34.7%	31.6%	33.8%	37.8%	41.0%	34.5%	33.1%	36.0%	37.8%	38.7%	39.6%
Non-IR/Avg. Assets	0.82%	0.89%	0.83%	0.77%	0.87%	0.90%	0.88%	0.81%	0.91%	1.04%	1.04%	1.05%	1.06%
Revenue/Assets	2.40%	2.45%	2.39%	2.45%	2.57%	2.37%	2.14%	2.34%	2.75%	2.88%	2.76%	2.71%	2.67%
Cost/Income	45.4%	43.3%	43.0%	44.3%	43.0%	42.2%	45.2%	42.4%	39.5%	39.5%	39.9%	40.9%	41.9%
C/Assets	1.09%	1.06%	1.03%	1.09%	1.11%	1.00%	0.97%	0.99%	1.09%	1.14%	1.10%	1.11%	1.12%
Pre-Provision ROA	1.31%	1.39%	1.36%	1.37%	1.47%	1.37%	1.17%	1.35%	1.66%	1.74%	1.66%	1.60%	1.55%
LLP/Loans	-0.24%	-0.47%	-0.59%	-0.21%	-0.20%	-0.83%	-0.01%	-0.06%	-0.14%	-0.15%	-0.27%	-0.26%	-0.26%
Loan/Assets	63.0%	63.0%	63.4%	63.4%	63.0%	60.2%	59.3%	58.4%	56.8%	54.8%	52.7%	52.9%	53.3%
Other Income/Assets	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.52%	1.46%	1.41%
Pre-Tax ROA	1.15%	1.08%	0.98%	1.23%	1.34%	0.87%	1.16%	1.31%	1.58%	1.66%	1.52%	1.46%	1.41%
Tax Rate	-14.1%	-14.2%	-14.8%	-14.8%	-14.7%	-11.4%	-12.5%	-12.7%	-12.4%	-12.3%	-15.4%	-15.4%	-15.4%
Minorities & Outside Int.	-0.03%	-0.03%	-0.03%	-0.01%	-0.01%	-0.01%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	0.99%	0.89%	0.86%	1.03%	1.12%	0.75%	1.01%	1.13%	1.35%	1.43%	1.27%	1.23%	1.18%
RoRWA	1.66%	1.52%	1.52%	1.90%	2.13%	1.47%	2.02%	2.35%	2.79%	3.11%	2.93%	2.79%	2.66%
Equity/Assets	8.51%	8.77%	8.85%	8.60%	8.43%	8.15%	7.96%	7.67%	7.70%	8.05%	7.97%	7.93%	7.79%
ROE	11.6%	10.2%	9.7%	12.0%	13.3%	9.2%	12.6%	14.8%	17.5%	17.8%	15.9%	15.5%	15.2%

Source: Company reports and J.P. Morgan estimates.

Quarterly earnings

Table 10: DBS: Quarterly P&L

S\$ in mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E
Interest Income	6,250	6,978	7,254	7,380	7,726	7,741	7,713	7,747	7,632	7,499	7,414	7,420
Interest Expense	(2,979)	(3,545)	(3,750)	(3,946)	(4,221)	(4,147)	(4,116)	(4,019)	(3,951)	(3,878)	(3,798)	(3,813)
Net Interest Income	3,271	3,433	3,504	3,434	3,505	3,594	3,597	3,728	3,681	3,621	3,615	3,607
Non-Interest Income	1,728	1,654	1,750	1,620	2,103	1,951	2,222	1,847	2,301	2,346	2,177	1,993
Net Fee income	851	823	843	867	1,043	1,048	1,109	968	1,275	1,269	1,154	1,012
Trading income	382	325	346	316	388	362	530	261	401	421	379	371
Other operating income	495	506	561	437	672	541	583	618	625	656	643	610
Total Revenues	4,999	5,087	5,254	5,054	5,608	5,545	5,819	5,575	5,982	5,967	5,792	5,600
Costs	(1,882)	(1,931)	(2,038)	(2,205)	(2,079)	(2,172)	(2,249)	(2,395)	(2,214)	(2,313)	(2,359)	(2,425)
PPOP	3,117	3,156	3,216	2,849	3,529	3,373	3,570	3,180	3,768	3,654	3,432	3,175
Loan loss provisions	(161)	(60)	(215)	(155)	(135)	(128)	(130)	(230)	(325)	(291)	(294)	(272)
Other provisions	0	(12)	0	4	0	(32)	(6)	16	(6)	(3)	(3)	1
Other income	0	0	0	0	0	0	0	0	0	0	0	0
Pre-Tax	2,956	3,084	3,001	2,698	3,394	3,213	3,434	2,966	3,437	3,361	3,136	2,904
Tax	(379)	(399)	(373)	(301)	(432)	(416)	(414)	(336)	(531)	(519)	(484)	(443)
MI and EO	(6)	5	5	(5)	(6)	6	7	(8)	(9)	(9)	(8)	25
Core profit	2,571	2,690	2,633	2,392	2,956	2,803	3,027	2,622	2,897	2,833	2,643	2,486
Attributable profit	2,571	2,630	2,593	2,268	2,951	2,789	3,027	2,522	2,897	2,833	2,643	2,386

Source: Company reports and J.P. Morgan estimates.

Table 11: DBS: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.12%	2.16%	2.19%	2.13%	2.14%	2.14%	2.11%	2.15%	2.12%	2.05%	2.02%	2.00%
IEA/Assets	83.9%	84.9%	84.7%	86.2%	86.7%	86.0%	85.9%	85.3%	83.6%	83.6%	83.7%	83.7%
Margins (% of avg. Ass)	1.78%	1.83%	1.85%	1.84%	1.85%	1.84%	1.81%	1.83%	1.77%	1.72%	1.69%	1.67%
Non-IR contribution	34.6%	32.5%	33.3%	32.1%	37.5%	35.2%	38.2%	33.1%	38.5%	39.3%	37.6%	35.6%
Non-IR/Avg. Assets	0.93%	0.88%	0.93%	0.87%	1.11%	0.99%	1.13%	0.91%	1.10%	1.11%	1.02%	0.93%
Revenue/Assets	2.69%	2.71%	2.80%	2.72%	2.95%	2.82%	2.95%	2.76%	2.87%	2.82%	2.72%	2.61%
Cost/Income	37.6%	38.0%	38.8%	43.6%	37.1%	39.2%	38.6%	43.0%	37.0%	38.8%	40.7%	43.3%
C/Assets	1.01%	1.03%	1.08%	1.19%	1.09%	1.10%	1.14%	1.19%	1.06%	1.09%	1.11%	1.13%
Pre-Provision ROA	1.7%	1.7%	1.7%	1.5%	1.9%	1.7%	1.8%	1.6%	1.8%	1.7%	1.6%	1.5%
LLP/Loans	-0.15%	-0.06%	-0.20%	-0.15%	-0.13%	-0.12%	-0.12%	-0.21%	-0.30%	-0.26%	-0.26%	-0.24%
Loan/Assets	56.7%	56.2%	56.4%	57.1%	56.0%	54.8%	54.1%	53.2%	52.7%	52.6%	52.9%	52.9%
Other Income/Assets	0.00%	-0.01%	0.00%	0.00%	0.00%	-0.02%	0.00%	0.01%	0.00%	0.00%	0.00%	0.00%
Operating ROA	1.59%	1.65%	1.60%	1.45%	1.78%	1.65%	1.74%	1.46%	1.65%	1.59%	1.48%	1.36%
Pre-Tax ROA	1.59%	1.64%	1.60%	1.45%	1.78%	1.63%	1.74%	1.47%	1.65%	1.59%	1.48%	1.36%
Tax Rate	-12.8%	-12.9%	-12.4%	-11.2%	-12.7%	-13.0%	-12.1%	-11.3%	-15.4%	-15.4%	-15.4%	-15.2%
Minorities & Outside Int	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.01%
ROA	1.38%	1.40%	1.38%	1.22%	1.55%	1.42%	1.53%	1.25%	1.39%	1.34%	1.24%	1.11%
RoRWA	2.93%	2.90%	2.78%	2.44%	3.16%	2.91%	3.34%	2.92%	3.29%	3.15%	2.86%	2.54%
Equity/Assets	7.37%	7.42%	7.58%	7.90%	7.95%	7.89%	8.09%	8.12%	7.96%	8.01%	8.13%	8.02%
ROE	18.7%	18.8%	18.2%	15.4%	19.5%	17.9%	18.9%	15.3%	17.4%	16.7%	15.3%	13.9%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	4.8%	1.5%	15.5%	20.1%
Rel	-2.8%	-2.1%	1.6%	2.3%

Company Data

Shares O/S (mn)	2,838
52-week range (\$\$)	46.81-32.59
Market cap (\$ mn)	102,002
Exchange rate	1.28
Free float (%)	71.6%
3M ADV (mn)	4.90
3M ADV (\$ mn)	166.4
Volatility (90 Day)	28
Index	FTSTI
BBG ANR (Buy Hold Sell)	9 10 0

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	14,424	14,525	14,591	14,699
Non interest income	8,123	8,816	9,216	9,634
Operating expenses	(8,895)	(9,311)	(9,742)	(10,194)
Adj. PPOP	13,652	14,030	14,064	14,139
Provision for loan losses	(623)	(1,181)	(1,189)	(1,246)
Adj. PBT	12,888	12,737	12,769	12,791
Adj. net income	11,289	10,759	10,786	10,804
Adj. EPS	3.97	3.81	3.86	3.92
BBG EPS	3.97	3.85	3.95	4.10
DPS	2.22	3.08	3.32	3.50
Loans	430,594	447,799	468,917	491,133
Deposits	561,730	586,200	606,931	628,411
Total Assets	827,219	862,578	895,851	930,122
Margins and Growth				
NIM	2.1%	2.0%	2.0%	1.9%
Ratios				
Loan/ Deposit ratio	76.7%	76.4%	77.3%	78.2%
NPL / Loans	1.1%	1.1%	1.3%	1.4%
Coverage	127.4%	125.5%	112.3%	100.7%
CET 1	-	-	-	-
Non-int. income/ Income	36.0%	37.8%	38.7%	39.6%
Cost/Income	39.5%	39.9%	40.9%	41.9%
LLP/Loans	(0.1%)	(0.3%)	(0.3%)	(0.3%)
ROA	1.4%	1.3%	1.2%	1.2%
ROE	17.9%	16.0%	15.5%	15.2%
Valuation				
Dividend yield	4.8%	6.7%	7.2%	7.6%
Adj. P/E	11.6	12.1	11.9	11.7
P/ BV	1.97	1.89	1.79	1.77

Summary Investment Thesis and Valuation

Investment Thesis

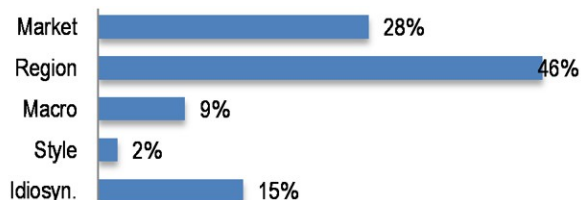
We hold a Neutral rating on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, bonus shares and buyback) allows investors to pay a multiple for the income stream. Yet, with progressively higher payout and range-bound EPS, it becomes tougher for the stock to re-rate beyond a point.
- DBS is positioned to deliver ~S\$10.8bn in profits over the next 3Y, despite potential decline in NIM with lower rates. WM continues to drive non-II, and asset quality appears intact. We expect 12/6bps annual decline in NIM 2025/26E. The bank has reduced rate-sensitivity of NIM over the next few years, helping improve capital generation visibility. Yet, the synchronized decline in rates across SGD and HKD suggests NIM will still come off, and DPS would stabilize in 2028-30E.
- DBS has delivered one of the best ROE expansions in the last decade as high rates and technology-led changes across the franchise led to improvements in growth, efficiency, and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.

Valuation

Our Jun-26 PT of S\$48 is based on a fair P/B of 1.79x, assuming a normalized RoE of 15.3%, a risk-free rate of 4.2%, a cost of capital of 9.2% and a growth rate of 1.50%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.76	0.53
Region: Singapore	0.70	0.82
Macro:		
HSI Volatility Index	-0.62	-0.60
JPM China A-shares Sentiment	-0.23	-0.28
Emerging Economies CPI(YoY)	0.36	0.26
Quant Styles:		
Growth	0.13	0.40
Momentum	0.11	0.39
Size	0.11	0.22

DBS Group Holdings (Neutral; Price Target: S\$48.00)

Investment Thesis

We hold a Neutral rating on DBS.

- The bank's commitment to and delivery of payouts in numerous forms (progressively increasing regular dividends, bonus shares and buyback) allows investors to pay a multiple for the income stream. Yet, with progressively higher payout and range-bound EPS, it becomes tougher for the stock to re-rate beyond a point.
- DBS is positioned to deliver ~S\$10.8bn in profits over the next 3Y, despite a potential decline in NIM with lower rates. WM continues to drive non-II, and asset quality appears intact. We expect 12/6bps annual decline in NIM 2025/26E. The bank has reduced rate-sensitivity of NIM over the next few years, helping improve capital generation visibility. Yet, the synchronized decline in rates across SGD and HKD suggests NIM will still come off, and DPS would stabilize in 2028-30E.
- DBS has delivered one of the best ROE expansions in the last decade as high rates and technology-led changes across the franchise led to improvements in growth, efficiency, and returns. The bank's digital strength is driving gains in loan market share, WM, as well as underwriting, which had previously seen challenges at the bank.
- Any indication of a pick-up in NPL formation would be a catalyst for de-rating. A key risk area could be trade-related exposure.

Valuation

Our Jun-26 PT of S\$48 is based on a fair P/B of 1.79x, assuming a normalized RoE of 15.3%, a risk-free rate of 4.2%, a cost of capital of 9.2% and a growth rate of 1.50%.

Risks to Rating and Price Target

Upside catalysts include: (1) further increases in payout; (2) resilient GDP growth, leading to better-than-expected growth and asset quality; (3) sustained improvements in underwriting and monitoring, leading to lower-than-expected credit costs; (4) better-than-expected efficiency gains due to digital investments; and (5) better-than-expected WM performance.

Downside risks include: (1) dividend disappointment; (2) asset quality deterioration; and (3) faster and/or larger Fed rate cuts or decline in SORA, which would drive a larger than expected NIM compression. Any acquisition will come with two-sided risks.

DBS Group Holdings: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	27,862	30,927	29,964	29,516	29,479	Cash and cash equivalents	0	0	0	0	0
Interest expense	(14,220)	(16,503)	(15,439)	(14,925)	(14,781)	Deposits with banks	117,674	139,061	147,783	148,173	147,914
Net interest income	13,642	14,424	14,525	14,591	14,699	Net loans	416,163	430,594	447,799	468,917	491,133
Non interest income	6,752	8,123	8,816	9,216	9,634	PP&E	3,689	3,873	3,989	4,109	4,232
o/w Fee income	3,384	4,168	4,710	4,945	5,193	Net intangibles	6,313	6,372	6,372	6,372	6,372
o/w Trading income	1,369	1,541	1,572	1,635	1,700	LT investments	154,787	189,665	197,252	207,114	217,470
Net revenues	20,394	22,547	23,341	23,807	24,333	Other assets	40,675	57,654	59,384	61,165	63,000
Non interest expense	(8,056)	(8,895)	(9,311)	(9,742)	(10,194)	Total assets	739,301	827,219	862,578	895,851	930,122
o/w Employee costs	0	0	0	0	0	Interest earning assets	694,613	765,410	799,378	831,082	863,644
Pre-Prov. Profits	12,338	13,652	14,030	14,064	14,139	Deposits	535,103	561,730	586,200	606,931	628,411
Provisions	(591)	(623)	(1,181)	(1,189)	(1,246)	Borrowings	96,102	133,343	139,813	147,943	156,547
Adj. PBT	11,515	12,888	12,737	12,769	12,791	Other liabilities	48,241	65,705	68,238	69,796	73,984
Income taxes	(1,452)	(1,598)	(1,977)	(1,982)	(1,985)	Total liabilities	679,446	760,778	794,251	824,671	858,942
Minority interest	(1)	(1)	(1)	(1)	(1)	Shareholder equity	59,673	66,394	68,281	71,133	71,132
Adj. Net profit	10,062	11,289	10,759	10,786	10,804	Minority interests	182	47	47	47	47
PPOP per share	4.35	4.80	5.00	5.07	5.16	Total liabilities and Shareholder equity	739,301	827,219	862,578	895,851	930,122
Reported EPS	3.55	3.97	3.81	3.86	3.92	Interest bearing liabilities	604,787	604,787	710,543	740,444	769,916
Adj. EPS	3.55	3.97	3.81	3.86	3.92	Book Value Per Share	21.03	23.38	24.32	25.64	25.94
DPS	1.75	2.22	3.08	3.32	3.50	Tangible Book Value Per Share	21.03	23.38	24.32	25.64	25.94
Diluted shares outstanding	2,836	2,843	2,824	2,791	2,758						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	77.8%	76.7%	76.4%	77.3%	78.2%	Loan loss reserves/Loans	(1.4%)	(1.4%)	(1.4%)	(1.4%)	(1.4%)
Investment/Assets	20.1%	22.0%	22.9%	23.0%	23.3%	NPLs/Loans	1.1%	1.1%	1.1%	1.3%	1.4%
Loan/Assets	56.8%	54.8%	52.7%	52.9%	53.3%	Loan loss reserves/NPLs	124.3%	127.5%	126.4%	118.3%	106.1%
Customer deposits/Liabilities	78.8%	73.8%	73.8%	73.6%	73.2%	NPL y/y growth	(1.3%)	1.8%	9.1%	17.4%	15.5%
LT debt/Liabilities	13.7%	15.9%	17.6%	17.8%	18.1%	Tier 1 ratio	15.3%	17.7%	16.9%	16.4%	15.4%
						CAR	16.1%	18.6%	17.7%	17.2%	16.1%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.2%	2.1%	2.0%	2.0%	1.9%	Return on equity (ROE)	17.6%	17.9%	16.0%	15.5%	15.2%
Non interest income/Net revenue	33.1%	36.0%	37.8%	38.7%	39.6%	Return on assets (ROA)	1.4%	1.4%	1.3%	1.2%	1.2%
Non interest income/Avg. Assets	0.9%	1.0%	1.0%	1.0%	1.1%	Operating ROA	1.6%	1.7%	1.5%	1.5%	1.4%
Efficiency ratio	39.5%	39.5%	39.9%	40.9%	41.9%	Pre-Tax ROA	1.6%	1.6%	1.5%	1.5%	1.4%
Leverage ratio	7.6%	8.0%	7.6%	7.3%	7.0%	Pre-Provision ROA	1.7%	1.7%	1.7%	1.6%	1.5%
Revenue/Assets	2.8%	2.9%	2.8%	2.7%	2.7%	Tax rate	12.6%	12.4%	15.5%	15.5%	15.5%
RORWA	2.8%	3.1%	2.9%	2.8%	2.7%						
RWA	368,363	352,002	379,534	394,174	418,555	Net loans y/y growth	0.4%	3.5%	4.0%	4.7%	4.7%
Avg. RWA	357,629	360,183	365,768	386,854	406,365	Assets y/y growth	(0.5%)	11.9%	4.3%	3.9%	3.8%
Avg. IEA	634,435	676,148	711,978	741,859	771,101	RWA y/y growth	6.2%	(4.4%)	7.8%	3.9%	6.2%
Gross Loans	422,152	436,684	454,344	475,795	498,260	Deposits y/y growth	1.5%	5.0%	4.4%	3.5%	3.5%
Avg. IBL	604,787	604,787	710,543	740,444	769,916	Net interest income y/y growth	24.7%	5.7%	0.7%	0.5%	0.7%
LLR	(5,989)	(6,090)	(6,544)	(6,877)	(7,127)	Revenues y/y growth	22.1%	10.6%	3.5%	2.0%	2.2%
NPLs	4,697	4,780	5,217	6,125	7,077	Adj. EPS y/y growth	22.6%	11.9%	(4.0%)	1.4%	1.4%
P/BV (x)	2.19	1.97	1.89	1.79	1.77	BVPS y/y growth	9.3%	11.1%	4.0%	5.4%	1.2%
Adj. P/E (x)	13.0	11.6	12.1	11.9	11.7	IE assets/Assets	85.6%	86.3%	84.3%	84.4%	84.5%
Dividend yield	3.8%	4.8%	6.7%	7.2%	7.6%	Margins (as % of Avg. Assets)	1.7%	1.7%	1.6%	1.5%	1.5%
Dividend payout	49.2%	55.9%	80.8%	85.9%	89.4%	LLP/Loans	(0.1%)	(0.1%)	(0.3%)	(0.3%)	(0.3%)
						Equity/Assets	7.7%	8.0%	8.0%	7.9%	7.8%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.1%
						Assets/Equity	13.0	12.4	12.5	12.6	12.8

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

Neutral

OCBC.SI, OCBC SP

Price (11 Jul 25): S\$16.89

Price Target (Jun-26): S\$18.00

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.44	0.42A	
Q2	0.43	0.43	
Q3	0.44	0.41	
Q4	0.37	0.37	
FY	1.67	1.62	1.63

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	16	16	19	7	19
Growth	19	13	13	7	72
Momentum	79	16	10	51	69
Quality	7	7	4	4	32
Low Vol	16	1	4	16	1
ESGQ	12	23	24	24	88

OCBC Bank

Moving to a N rating and \$18 PT from Not Rated

Following a period of restriction, we are moving to a N rating and \$18 PT (UW rating and Dec-24 PT of \$12.5 prior to restrictions) from a Not Rated designation. Great Eastern and Bank of Ningbo contributed 13/12% of group profits in 2024. Further, Lion Global, Bank of Singapore, NISP and OCBC Malaysia are large contributors to profits. Capital upstreaming from subsidiaries may allow the bank to increase payout; but it is not necessary. The group level CET1 at 14.5% (proforma, post GE and special dividend) suggests there is scope to improve capital returns. The bank has consistently been in the news on the possibility of inorganic growth, which remains a possible use of capital. Underlying businesses appear to be holding up well, especially WM. The NIM increase at OCBC into rate hikes was higher, and it now appears to be coming off faster. The differences in FX and fixed/floating mix at the bank likely drive these NIM delta.

Valuation

Table 12: OCBC: Valuation

	Net Inc	Core EPS	Core P/E	BVPS	P/B	Dividend	Div Yld	RoA	RoRWA	RoE
	(\$\$ mn)	(\$\$)	(x)	(\$\$)	(x)	(\$\$)	(%)	(%)	(%)	(%)
2021	4,812	1.07	15.8	11.5	1.47	0.53	3.1%	0.90%	2.19%	9.7%
2022	5,691	1.27	13.3	11.4	1.48	0.68	4.0%	1.03%	2.52%	11.1%
2023	6,986	1.55	10.9	11.8	1.43	0.82	4.9%	1.22%	3.00%	13.4%
2024	7,519	1.67	10.1	12.8	1.32	1.01	6.0%	1.25%	3.21%	13.6%
2025E	7,267	1.62	10.4	13.3	1.27	1.01	6.0%	1.14%	3.00%	12.4%
2026E	7,245	1.63	10.3	13.9	1.22	1.03	6.1%	1.09%	2.81%	12.0%
2027E	7,429	1.69	10.0	14.5	1.16	1.05	6.2%	1.08%	2.72%	11.9%
Price (\$\$)		16.89		Number of shares (mn)		4,496		Market Cap (\$\$ mn)		75,940
Normalised RoE			PB based Valuation				PE based Valuation			
NIM (on avg. assets)		1.38%		Risk-free rate		4.7%		Fair PE		9.8x
Non-IR/revenues		37.9%		Cost of capital		10.4%		12m Rolling EPS		\$S1.63
Cost/income		40.3%		Long term growth		1.0%		PE based Jun-26 Fair Value		\$S15.9
Operating RoA		1.33%		Fair PB		1.21x		Implied Value of Growth		
LLP/Loans		-0.25%		PV of Terminal Value		\$S14.9		12m Rolling EPS		\$S1.63
Net RoAA		1.13%		PV of Dividends		\$S1.0		Capitalized Value (\$\$)		\$15.60
Equity/Assets		9.1%		PV of today's Fair Value		\$S15.8		Value of Growth (\$\$)		\$1.29
Normalised RoE		12.4%		PB based Jun-26 Fair Value		\$S17.5		Attributable to Growth		7.6%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Annual earnings

Table 13: OCBC: Annual P&L

S\$ in mn	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,607	8,486	8,368	9,118	11,049	12,098	9,143	7,425	11,590	20,867	22,444	21,629	21,023	20,715
Interest Expense	(2,871)	(3,297)	(3,316)	(3,695)	(5,159)	(5,767)	(3,177)	(1,570)	(3,902)	(11,222)	(12,689)	(12,324)	(11,912)	(11,551)
Net Interest Income	4,736	5,189	5,052	5,423	5,890	6,331	5,966	5,855	7,688	9,645	9,755	9,305	9,110	9,164
Non-Interest Income	3,182	3,530	3,437	4,213	3,811	4,540	4,173	4,741	3,987	3,862	4,718	5,099	5,429	5,658
Net Fee income	1,495	1,643	1,638	1,953	2,031	2,123	2,003	2,245	1,851	1,804	1,970	2,167	2,297	2,389
Trading income	498	756	727	946	524	1,148	1,071	855	628	1,250	1,831	1,786	1,940	2,017
Other operating income	1,189	1,131	1,072	1,314	1,256	1,269	1,099	1,641	1,508	808	917	1,146	1,192	1,252
Total Revenues	7,918	8,719	8,489	9,636	9,701	10,871	10,139	10,596	11,675	13,507	14,473	14,404	14,539	14,822
Costs	(3,258)	(3,664)	(3,788)	(4,034)	(4,214)	(4,644)	(4,439)	(4,764)	(5,026)	(5,223)	(5,742)	(5,794)	(5,986)	(6,126)
PPOP	4,660	5,055	4,701	5,602	5,487	6,227	5,700	5,832	6,649	8,284	8,731	8,611	8,553	8,697
Loan loss provisions	(359)	(409)	(656)	(621)	(307)	(747)	(2,043)	(873)	(584)	(733)	(690)	(799)	(867)	(904)
Other provisions	(72)	(177)	(166)	(154)	(83)	(102)	(104)	(103)	(104)	(103)	(59)	(59)	(59)	(59)
Other income	112	353	396	389	455	566	612	824	978	953	994	1,123	1,236	1,359
Pre-Tax	4,341	4,822	4,275	5,216	5,552	5,944	4,165	5,680	6,939	8,401	8,976	8,876	8,862	9,092
Tax	(687)	(717)	(629)	(803)	(877)	(814)	(437)	(648)	(1,057)	(1,236)	(1,228)	(1,331)	(1,329)	(1,364)
Minorities and Hybrids	(234)	(205)	(173)	(267)	(183)	(170)	(142)	(174)	(134)	(144)	(161)	(209)	(220)	(231)
Core Reported profit	3,420	3,900	3,473	4,146	4,492	4,960	3,586	4,858	5,748	7,021	7,587	7,335	7,313	7,498
Profits to Equity SHs	3,785	3,844	3,414	4,089	4,459	4,810	3,530	4,812	5,691	6,986	7,519	7,267	7,245	7,429

Source: Company reports and J.P. Morgan estimates.

Table 14: OCBC: Annual DuPont

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.68%	1.67%	1.67%	1.65%	1.70%	1.77%	1.61%	1.54%	1.91%	2.28%	2.20%	1.98%	1.86%	1.81%
IEA/Assets	76.1%	78.4%	75.7%	76.0%	75.3%	74.5%	72.9%	71.4%	72.9%	74.1%	73.5%	73.4%	73.4%	73.4%
Margins (% of avg. Assets)	1.28%	1.31%	1.26%	1.25%	1.28%	1.32%	1.18%	1.10%	1.40%	1.69%	1.62%	1.45%	1.37%	1.33%
Non-IR contribution	40.2%	40.5%	40.5%	43.7%	39.3%	41.8%	41.2%	44.7%	34.1%	28.6%	32.6%	35.4%	37.3%	38.2%
Non-IR/Avg. Assets	0.86%	0.89%	0.86%	0.97%	0.83%	0.95%	0.82%	0.89%	0.72%	0.68%	0.78%	0.80%	0.81%	0.82%
Revenue/Assets	2.14%	2.20%	2.12%	2.23%	2.10%	2.27%	2.00%	1.99%	2.12%	2.37%	2.40%	2.25%	2.18%	2.15%
Cost/Income	41.1%	42.0%	44.6%	41.9%	43.4%	42.7%	43.8%	45.0%	43.0%	38.7%	39.7%	40.2%	41.2%	41.3%
C/Assets	0.88%	0.93%	0.95%	0.93%	0.91%	0.97%	0.88%	0.90%	0.91%	0.92%	0.95%	0.91%	0.90%	0.89%
Pre-Provision ROA	1.26%	1.28%	1.18%	1.30%	1.19%	1.30%	1.13%	1.10%	1.21%	1.45%	1.45%	1.35%	1.28%	1.26%
LLP/Loans	-0.19%	-0.19%	-0.30%	-0.27%	-0.12%	-0.29%	-0.77%	-0.31%	-0.20%	-0.25%	-0.22%	-0.25%	-0.26%	-0.26%
Loan/Assets	51.3%	53.1%	53.8%	52.9%	53.7%	54.5%	52.5%	52.4%	53.1%	51.8%	51.0%	50.9%	51.0%	51.5%
Other Income/Assets	0.01%	0.04%	0.06%	0.05%	0.08%	0.10%	0.10%	0.14%	0.16%	0.15%	0.15%	0.17%	0.18%	0.19%
Operating ROA	1.16%	1.17%	1.01%	1.15%	1.12%	1.14%	0.72%	0.93%	1.10%	1.32%	1.33%	1.22%	1.15%	1.13%
Pre-Tax ROA	1.17%	1.22%	1.07%	1.21%	1.20%	1.24%	0.82%	1.07%	1.26%	1.47%	1.49%	1.39%	1.33%	1.32%
Tax Rate	-15.8%	-14.9%	-14.7%	-15.4%	-15.8%	-13.7%	-10.5%	-11.4%	-15.2%	-14.7%	-13.7%	-15.0%	-15.0%	-15.0%
Minorities & Outside Int.	-0.06%	-0.05%	-0.04%	-0.06%	-0.04%	-0.04%	-0.03%	-0.03%	-0.02%	-0.03%	-0.03%	-0.03%	-0.03%	-0.03%
ROA	1.04%	0.99%	0.87%	0.96%	0.97%	1.02%	0.71%	0.91%	1.04%	1.23%	1.26%	1.15%	1.10%	1.09%
RoRWA	2.27%	2.05%	1.78%	2.12%	2.28%	2.35%	1.66%	2.19%	2.52%	3.00%	3.21%	3.00%	2.81%	2.72%
Equity/Assets	7.2%	7.9%	8.6%	8.4%	8.5%	9.0%	9.2%	9.3%	9.3%	9.1%	9.2%	9.1%	9.1%	9.1%
ROE	14.4%	12.4%	10.1%	11.3%	11.5%	11.3%	7.7%	9.8%	11.2%	13.5%	13.7%	12.5%	12.1%	12.0%

Source: Company reports and J.P. Morgan estimates.

Quarterly earnings

Table 15: OCBC: Quarterly P&L

S\$ in mn	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E
Interest Income	4,675	5,171	5,438	5,582	5,615	5,615	5,596	5,617	5,538	5,426	5,316	5,348
Interest Expense	(2,336)	(2,783)	(2,982)	(3,120)	(3,178)	(3,185)	(3,163)	(3,162)	(3,193)	(3,103)	(2,989)	(3,039)
Net Interest Income	2,338	2,389	2,456	2,462	2,437	2,430	2,433	2,455	2,345	2,324	2,327	2,309
Non-Interest Income	1,012	1,066	973	811	1,189	1,199	1,369	961	1,310	1,341	1,287	1,162
Net Fee income	453	430	461	460	479	466	508	517	546	557	540	524
Trading income	321	374	292	263	421	439	628	343	458	472	465	391
Other operating income	238	262	220	88	289	294	233	101	306	312	281	247
Total Revenues	3,350	3,455	3,429	3,273	3,626	3,629	3,802	3,416	3,655	3,665	3,614	3,471
Costs	(1,244)	(1,329)	(1,340)	(1,310)	(1,346)	(1,373)	(1,463)	(1,560)	(1,415)	(1,430)	(1,459)	(1,490)
PPOP	2,106	2,126	2,089	1,963	2,280	2,256	2,339	1,856	2,240	2,235	2,155	1,981
Loan loss provisions	(110)	(239)	(184)	(200)	(169)	(55)	(169)	(297)	(212)	(163)	(215)	(208)
Other provisions	(25)	(39)	(26)	(13)	(25)	(111)	(7)	84	(5)	(15)	(15)	(24)
Other income	260	250	254	189	255	243	251	245	274	279	288	282
Pre-Tax	2,231	2,098	2,133	1,939	2,341	2,333	2,414	1,888	2,297	2,336	2,213	2,030
Tax	(347)	(315)	(345)	(229)	(344)	(310)	(339)	(235)	(313)	(362)	(343)	(314)
Minorities and Hybrids	(6)	(72)	22	(88)	(15)	(79)	(101)	34	(101)	(36)	(36)	(36)
Core Reported profits	1,879	1,710	1,810	1,622	1,982	1,944	1,974	1,687	1,883	1,937	1,834	1,681
Profits to Equity SHs	1,863	1,694	1,802	1,609	1,965	1,927	1,957	1,670	1,866	1,920	1,817	1,664

Source: Company reports and J.P. Morgan estimates.

Table 16: OCBC: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.30%	2.26%	2.27%	2.29%	2.27%	2.20%	2.18%	2.15%	2.04%	1.96%	1.92%	1.90%
IEA/Assets	73.2%	73.7%	73.7%	73.3%	73.3%	74.2%	73.9%	74.0%	74.0%	74.3%	74.2%	74.0%
Margins (% of avg. Assets)	1.68%	1.67%	1.67%	1.68%	1.66%	1.63%	1.61%	1.59%	1.51%	1.45%	1.43%	1.40%
Non-IR contribution	30.2%	30.9%	28.4%	24.8%	32.8%	33.0%	36.0%	28.1%	35.8%	36.6%	35.6%	33.5%
Non-IR/Avg. Assets	0.72%	0.74%	0.67%	0.56%	0.81%	0.80%	0.91%	0.63%	0.83%	0.84%	0.80%	0.71%
Revenue/Assets	2.38%	2.40%	2.35%	2.25%	2.46%	2.43%	2.53%	2.23%	2.32%	2.29%	2.23%	2.13%
Cost/Income	37.1%	38.5%	39.1%	40.0%	37.1%	37.8%	38.5%	45.7%	38.7%	39.0%	40.4%	42.9%
C/Assets	0.88%	0.92%	0.92%	0.90%	0.91%	0.92%	0.97%	1.02%	0.90%	0.89%	0.90%	0.91%
Pre-Provision ROA	1.50%	1.48%	1.43%	1.35%	1.55%	1.51%	1.56%	1.21%	1.42%	1.39%	1.33%	1.21%
LLP/Loans	-0.15%	-0.32%	-0.25%	-0.27%	-0.23%	-0.07%	-0.22%	-0.38%	-0.26%	-0.20%	-0.26%	-0.25%
Loan/Assets	52.3%	51.4%	51.0%	51.1%	50.7%	50.6%	50.7%	50.9%	50.8%	50.6%	50.8%	50.8%
Other Income/Assets	0.17%	0.15%	0.16%	0.12%	0.16%	0.09%	0.16%	0.21%	0.17%	0.17%	0.17%	0.16%
Operating ROA	1.42%	1.31%	1.31%	1.21%	1.43%	1.47%	1.45%	1.02%	1.29%	1.29%	1.20%	1.09%
Pre-Tax ROA	1.59%	1.46%	1.46%	1.33%	1.59%	1.56%	1.61%	1.23%	1.46%	1.46%	1.37%	1.25%
Tax Rate	-15.5%	-15.0%	-16.2%	-11.8%	-14.7%	-13.3%	-14.0%	-12.5%	-13.6%	-15.5%	-15.5%	-15.4%
Minorities & Outside Int.	0.00%	-0.05%	0.01%	-0.06%	-0.01%	-0.05%	-0.07%	0.02%	-0.06%	-0.02%	-0.02%	-0.02%
ROA	1.32%	1.18%	1.24%	1.11%	1.33%	1.29%	1.30%	1.09%	1.18%	1.20%	1.12%	1.02%
RoRWA	3.21%	2.89%	2.99%	2.67%	3.27%	3.11%	3.27%	2.88%	3.15%	3.18%	2.96%	2.67%
Equity/Assets	9.19%	8.95%	8.71%	8.90%	9.17%	9.23%	9.26%	9.25%	9.31%	9.49%	9.48%	9.22%
ROE	14.4%	13.2%	14.2%	12.4%	14.5%	14.0%	14.1%	11.8%	12.7%	12.6%	11.8%	11.1%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	0.3%	2.9%	8.5%	9.9%
Rel	-7.3%	-0.7%	-5.4%	-7.9%

Company Data

Shares O/S (mn)	4,496
52-week range (\$S\$)	17.75-13.61
Market cap (\$ mn)	59,351
Exchange rate	1.28
Free float (%)	85.3%
3M ADV (mn)	6.21
3M ADV (\$ mn)	78.1
Volatility (90 Day)	24
Index	FTSTI
BBG ANR (Buy Hold Sell)	7 10 1

Key Metrics (FYE Dec)

\$S\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,755	9,305	9,110	9,164
Non interest income	4,718	5,099	5,429	5,658
Operating expenses	(5,742)	(5,794)	(5,986)	(6,126)
Adj. PPOP	8,731	8,611	8,553	8,697
Provision for loan losses	(690)	(799)	(867)	(904)
Adj. PBT	8,976	8,876	8,862	9,092
Adj. net income	7,519	7,267	7,245	7,429
Adj. EPS	1.67	1.62	1.63	1.69
BBG EPS	1.71	1.61	1.65	1.72
DPS	1.01	1.01	1.03	1.05
Loans	315,096	328,299	342,078	356,466
Deposits	390,687	411,803	423,855	436,303
Total Assets	625,050	655,231	677,127	699,907
Margins and Growth				
NIM	-	-	-	-
Ratios				
Loan/ Deposit ratio	80.7%	79.7%	80.7%	81.7%
NPL / Loans	0.9%	1.0%	1.0%	1.0%
Coverage	144.0%	138.4%	135.8%	139.7%
CET 1	-	-	-	-
Non-int. income/ Income	32.6%	35.4%	37.3%	38.2%
Cost/Income	39.7%	40.2%	41.2%	41.3%
LLP/Loans	(0.2%)	(0.2%)	(0.3%)	(0.3%)
ROA	1.2%	1.1%	1.1%	1.1%
ROE	13.6%	12.4%	12.0%	11.9%
Valuation				
Dividend yield	6.0%	6.0%	6.1%	6.2%
Adj. P/E	10.1	10.4	10.3	10.0
P/ BV	1.32	1.27	1.22	1.16

Summary Investment Thesis and Valuation

Investment Thesis

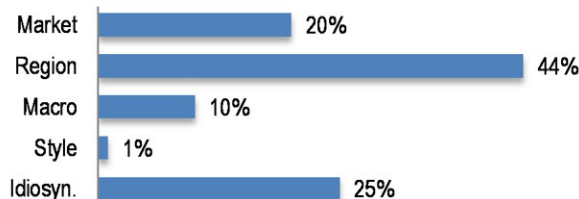
We hold a Neutral rating on OCBC.

- The bank is targeting to deliver S\$3bn incremental revenues by 2025 (vs. 2022), supported by investments in wholesale banking and WM, among others. These are aimed at capturing flows between Asean and Greater China. The targets appear achievable if execution meets expectations, and economic conditions cooperate.
- The shift in capital management including its S\$2.5bn capital return plan over 2Y and dividend payout of ~60% have helped address some of historical concerns on capital. Further, post GE, there is scope for capital management to step up. Yet, the bank's announced management change may weigh on the stock unless the communication from incoming CEO suggests a sharp increase in payouts.

Valuation

Our Jun-26 PT of S\$18 is based on a fair P/B of 1.21x, assuming a normalized RoE of 12.4%, a risk-free rate of 4.7%, a cost of capital of 10.4% and a growth rate of 1.0%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.69	0.45
Region: Singapore	0.64	0.77
Macro:		
HSI Volatility Index	-0.55	-0.58
JPM China A-shares Sentiment	-0.21	-0.33
US 10 Year Yield	-0.20	-0.25
Quant Styles:		
Growth	0.13	0.32
Momentum	0.10	0.30
Size	0.17	0.18

Investment Thesis, Valuation and Risks

OCBC Bank *(Neutral; Price Target: S\$18.00)*

Investment Thesis

We hold a Neutral rating on OCBC.

- The bank is targeting to deliver S\$3bn incremental revenues by 2025 (vs. 2022), supported by investments in wholesale banking and WM, among others. These are aimed at capturing flows between Asean and Greater China. The targets appear achievable if execution meets expectations, and economic conditions cooperate.
- The shift in capital management including its S\$2.5bn capital return plan over 2Y and dividend payout of ~60% have helped address some of historical concerns on capital. Further, post GE, there is scope for capital management to step up. Yet, the bank's announced management change may weigh on the stock unless the communication from incoming CEO suggests a sharp increase in payouts.
- Apart from increased dividends and buybacks, another potential use of capital could be via M&A; else, we see ROEs coming off in next 3Y on lower NIM. If a transaction were to be announced, share price moves would be a function of pricing and fit.
- We expect 22bps/12bps NIM compression in FY25/26E, following a sharp 23bps decline over the last 4 quarters, as well as declines in SORA and HIBOR. OCBC has 37% of loans in SGD and 11% in HKD.
- The bank has expanded inorganically over the last 10-15 years, with Wing Hang and Bank of Ningbo being notable transactions. There appears to be a commitment to deepen this presence, with capabilities being broadened in the GBA and HK markets, among others. This could lead to near-term risks if the growth in Greater China is via inorganic means and transactions are not immediately accretive.

Valuation

Our Jun-26 PT of S\$18 is based on a fair P/B of 1.21x, assuming a normalized RoE of 12.4%, a risk-free rate of 4.7%, a cost of capital of 10.4% and a growth rate of 1.0%.

Risks to Rating and Price Target

Upside risks include a significant improvement in DPS, meaningfully value-accretive deal, better than-expected growth at GE, and better-than-expected WM fees. Bank of Ningbo (20%-owned by OCBC) has competitive advantages in local SMEs and high-net-worth retail clients, which can drive faster growth at the group.

Downside risks include weaker than expected NIM, market share losses in wealth management, and M&A, if transactions are not immediately accretive.

OCBC Bank: Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	20,867	22,444	21,629	21,023	20,715	Cash and cash equivalents	0	0	0	0	0
Interest expense	(11,222)	(12,689)	(12,324)	(11,912)	(11,551)	Deposits with banks	72,337	77,006	81,446	81,086	80,695
Net interest income	9,645	9,755	9,305	9,110	9,164	Net loans	292,754	315,096	328,299	342,078	356,466
Non interest income	3,862	4,718	5,099	5,429	5,658	PP&E	3,528	3,725	3,800	3,989	4,189
o/w Fee income	1,804	1,970	2,167	2,297	2,389	Net intangibles	4,501	4,504	4,507	4,510	4,513
o/w Trading income	1,250	1,831	1,786	1,940	2,017	LT investments	102,200	113,454	120,261	123,869	127,585
Net revenues	13,507	14,473	14,404	14,539	14,822	Other assets	106,104	111,265	116,918	121,595	126,458
Non interest expense	(5,223)	(5,742)	(5,794)	(5,986)	(6,126)	Total assets	581,424	625,050	655,231	677,127	699,907
o/w Employee costs	0	0	0	0	0	Interest earning assets	451,211	484,270	507,614	524,203	541,470
Pre-Prov. Profits	8,284	8,731	8,611	8,553	8,697	Deposits	363,770	390,687	411,803	423,855	436,303
Provisions	(733)	(690)	(799)	(867)	(904)	Borrowings	26,553	31,553	33,131	34,787	36,527
Adj. PBT	8,401	8,976	8,876	8,862	9,092	Other liabilities	136,797	144,130	149,904	156,120	162,599
Income taxes	(1,236)	(1,228)	(1,331)	(1,329)	(1,364)	Total liabilities	527,120	566,370	594,838	614,762	635,428
Minority interest	(144)	(161)	(209)	(220)	(231)	Shareholder equity	52,920	57,616	59,328	61,301	63,415
Adj. Net profit	6,986	7,519	7,267	7,245	7,429	Minority interests	1,384	1,064	1,064	1,064	1,064
PPOP per share	1.84	1.94	1.92	1.93	1.98	Total liabilities and Shareholder equity	581,424	625,050	655,231	677,127	699,907
Reported EPS	1.55	1.67	1.62	1.63	1.69	Interest bearing liabilities	401,207	433,805	456,962	471,151	485,838
Adj. EPS	1.55	1.67	1.62	1.63	1.69	Book Value Per Share	11.78	12.80	13.31	13.89	14.52
DPS	0.82	1.01	1.01	1.03	1.05	Tangible Book Value Per Share	11.47	12.57	13.08	13.65	14.28
Diluted shares outstanding	4,507	4,502	4,483	4,439	4,395						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	80.5%	80.7%	79.7%	80.7%	81.7%	Loan loss reserves/Loans	(1.3%)	(1.3%)	(1.3%)	(1.4%)	(1.4%)
Investment/Assets	16.8%	17.9%	18.3%	18.3%	18.3%	NPLs/Loans	0.9%	0.9%	1.0%	1.0%	1.0%
Loan/Assets	51.8%	51.0%	50.9%	51.0%	51.5%	Loan loss reserves/NPLs	119.8%	141.5%	141.0%	137.0%	137.8%
Customer deposits/Liabilities	69.0%	69.0%	69.2%	68.9%	68.7%	NPL y/y growth	(17.1%)	0.8%	14.7%	10.3%	4.9%
LT debt/Liabilities	4.7%	5.3%	5.6%	5.6%	5.7%	Tier 1 ratio	16.5%	17.8%	17.1%	16.6%	16.1%
Ratio Analysis (%)											
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin			-	-	-	CAR	-	-	-	-	-
Non interest income/Net revenue	28.6%	32.6%	35.4%	37.3%	38.2%	Return on equity (ROE)	13.4%	13.6%	12.4%	12.0%	11.9%
Non interest income/Avg. Assets	0.7%	0.8%	0.8%	0.8%	0.8%	Return on assets (ROA)	1.2%	1.2%	1.1%	1.1%	1.1%
Efficiency ratio	38.7%	39.7%	40.2%	41.2%	41.3%	Operating ROA	1.3%	1.3%	1.2%	1.2%	1.1%
Leverage ratio	6.8%	7.0%	6.7%	6.7%	6.6%	Pre-Tax ROA	1.5%	1.5%	1.4%	1.3%	1.3%
Revenue/Assets	2.4%	2.4%	2.3%	2.2%	2.2%	Pre-Provision ROA	1.5%	1.4%	1.3%	1.3%	1.3%
RORWA	3.0%	3.2%	3.0%	2.8%	2.7%	Tax rate	14.7%	13.7%	15.0%	15.0%	15.0%
RWA	236,694	236,288	252,264	267,465	283,462	Net loans y/y growth	0.4%	7.6%	4.2%	4.2%	4.2%
Avg. RWA	234,171	236,491	244,276	259,864	275,464	Assets y/y growth	3.8%	7.5%	4.8%	3.3%	3.4%
Avg. IEA	423,065	443,419	470,154	489,083	505,130	RWA y/y growth	2.2%	(0.2%)	6.8%	6.0%	6.0%
Gross Loans	296,653	319,166	332,784	346,931	361,704	Deposits y/y growth	3.9%	7.4%	5.4%	2.9%	2.9%
Avg. IBL	395,876	414,257	441,917	460,445	474,771	Net interest income y/y growth	25.5%	1.1%	(4.6%)	(2.1%)	0.6%
LLR	(3,899)	(4,070)	(4,486)	(4,854)	(5,238)	Revenues y/y growth	15.7%	7.2%	(0.5%)	0.9%	1.9%
NPLs	2,805	2,827	3,242	3,575	3,748	Adj. EPS y/y growth	22.0%	7.7%	(2.9%)	0.7%	3.6%
P/BV (x)	1.43	1.32	1.27	1.22	1.16	BVPS y/y growth	3.0%	8.7%	4.0%	4.4%	4.5%
Adj. P/E (x)	10.9	10.1	10.4	10.3	10.0	IE assets/Assets	74.1%	73.5%	73.4%	73.4%	73.4%
Dividend yield	4.9%	6.0%	6.0%	6.1%	6.2%	Margins (as % of Avg. Assets)	1.6%	1.5%	1.4%	1.3%	1.3%
Dividend payout	52.9%	60.5%	62.3%	63.1%	62.1%	LLP/Loans	(0.2%)	(0.2%)	(0.2%)	(0.3%)	(0.3%)
						Equity/Assets	9.1%	9.2%	9.1%	9.1%	9.1%
						Cost/Assets	0.9%	1.0%	0.9%	0.9%	0.9%
						Assets/Equity	10.9	10.9	10.9	11.0	11.0

Source: Company reports and J.P. Morgan estimates.
Note: \$S in millions (except per-share data). Fiscal year ends Dec

Neutral

UOBH.SI, UOB SP

Price (11 Jul 25): S\$36.86

▲ **Price Target (Jun-26): S\$38.00**

Prior (Jun-26): S\$37.00

APAC Banks

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$\$)

	2024A	2025E	2026E
Q1	0.87	0.88A	
Q2	0.84	0.90	
Q3	0.95	0.85	
Q4	0.90	0.89	
FY	3.56	3.53	3.68

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	1	1	1	4	7
Growth	26	26	22	10	66
Momentum	85	19	16	38	82
Quality	16	16	13	7	26
Low Vol	26	10	7	19	7
ESGQ	83	85	11	10	13

United Overseas Bank (UOB)

Steady, with scope to optimize

The bank has had one of the least volatile returns over the last 20Y, which underpins our investment thesis for the stock. The bank is in the process of improving leverage, with higher regular dividend, buyback as well as special dividends. We expect the bank to use leverage to improve RoE, but the management target of 14% would be quite tough. The NIM outlook for UOB, as for the sector, is tough with rates coming off across markets. The extent of change in SGD rates (SORA) vs. USD rates (Fed rates as well as SOFR) has shifted meaningfully from last decade's regressions, partly due to the sharp sell-off in USD. The 70bps YTD decline in SORA is leading to a 9/8bps NIM decline in 2025/26E. Volume growth can be a partial offset to NII, yet the extent of economic uncertainty makes it tougher for balance sheet growth. Hence, we expect 1-3% negative revisions for the stock in 2025-27E.

Asset quality for the bank is holding up, which we expect to sustain. Yet, LLR/loans for the bank at 1.16% is lower than peers, and is a potential driver for higher provisions this year. Hence, any PPop decline may not be offset by provisions, limiting RoA. We tweak our PT up to \$38 on higher PB, as we factor in our ROE expectations over the next three years.

Valuation

Table 17: UOB: Valuation

	Net Inc (\$\$ mn)	EPS (\$\$)	P/E (x)	BVPS (\$\$)	P/B (x)	Dividend (\$\$)	Div Yld (%)	RoA (%)	RoRWA (%)	RoE (%)
2020	2,825	1.69	21.8	23.0	1.60	0.78	2.1%	0.68%	1.25%	7.5%
2021	4,003	2.39	15.4	24.1	1.53	1.20	3.3%	0.90%	1.65%	10.2%
2022	4,485	2.68	13.7	24.2	1.52	1.35	3.7%	0.98%	1.73%	11.7%
2023	5,615	3.36	11.0	26.0	1.42	1.70	4.6%	1.16%	2.10%	14.2%
2024	5,946	3.56	10.4	28.1	1.31	2.05	5.6%	1.16%	2.22%	13.6%
2025E	5,862	3.53	10.4	29.2	1.26	2.01	5.5%	1.07%	2.18%	12.3%
2026E	6,047	3.68	10.0	30.7	1.20	2.20	6.0%	1.06%	2.11%	12.3%
2027E	6,303	3.89	9.5	32.2	1.14	2.40	6.5%	1.05%	2.09%	12.4%

Price (\$\$)	36.84	Number of shares (mn)	1,672	Market Cap (\$\$ mn)	61,613
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Normalised RoE		PB based Valuation		PE based Valuation	
NIM (on avg. assets)	1.67%	Risk-free rate	4.50%	Fair PE	9.81x
Non-IR/revenues	34.5%	Cost of capital	10.3%	12m Rolling EPS	S\$3.61
Cost/income	43.1%	Long term growth	0.50%	PE based 12M Fwd Fair Value	S\$35.4
Operating RoA	1.45%	Fair PB	1.19x	Implied Value of Growth	
LLP/Loans	-0.30%	PV of Terminal Value	S\$32.5	12m Rolling EPS	S\$3.61
Net RoAA	1.05%	PV of Dividends	S\$1.9	Capitalized Value (\$\$)	\$35.14
Equity/Assets	8.6%	PV of today's Fair Value	S\$34.4	Value of Growth (\$\$)	\$1.70
Normalised RoE	12.2%	PV of Jun-26E fair value	S\$37.9	Attributable to Growth	4.6%

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Annual earnings

Table 18: UOB: Annual P&L

S\$ in million	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
Interest Income	7,826	8,291	9,077	11,141	12,557	9,623	8,204	12,862	22,242	23,259	22,271	21,670	21,552
Interest Expense	(2,900)	(3,300)	(3,548)	(4,921)	(5,994)	(3,587)	(1,816)	(4,519)	(12,563)	(13,585)	(12,804)	(12,236)	(11,921)
Net Interest Income	4,926	4,991	5,528	6,220	6,563	6,036	6,388	8,343	9,679	9,674	9,468	9,434	9,631
Non-Interest Income	3,122	3,071	3,323	2,896	3,467	3,141	3,401	3,232	4,253	4,620	4,876	5,160	5,461
Net Fee income	1,883	1,931	2,161	1,966	2,032	1,997	2,412	2,143	2,235	2,395	2,706	2,869	3,041
Trading income	954	877	902	648	1,116	880	730	829	1,690	2,003	1,903	1,998	2,098
Other operating income	285	263	260	282	319	264	259	260	328	222	266	293	322
Total Revenues	8,048	8,061	8,851	9,116	10,030	9,177	9,789	11,575	13,932	14,294	14,343	14,594	15,092
Costs	(3,530)	(3,696)	(4,027)	(4,003)	(4,472)	(4,184)	(4,313)	(5,016)	(5,777)	(6,074)	(6,147)	(6,244)	(6,369)
PPOP	4,518	4,365	4,824	5,113	5,558	4,992	5,476	6,559	8,155	8,220	8,196	8,349	8,723
Loan loss provisions	(588)	(571)	(660)	(395)	(450)	(1,595)	(629)	(627)	(784)	(873)	(1,161)	(1,106)	(1,179)
Other provisions	(84)	(23)	(67)	2	15	42	(28)	21	(161)	(81)	(7)	-	-
Other income	90	6	110	106	51	98	118	97	93	121	127	133	140
Pre-Tax	3,936	3,777	4,207	4,826	5,174	3,536	4,937	6,050	7,303	7,387	7,155	7,377	7,684
Tax	(649)	(669)	(800)	(805)	(813)	(606)	(850)	(1,221)	(1,228)	(1,140)	(1,181)	(1,217)	(1,268)
MI & EO	(11)	(12)	(16)	(13)	(18)	(15)	(12)	(10)	(14)	(14)	(14)	(14)	(15)
Core Profit	3,276	3,096	3,390	4,008	4,343	2,915	4,075	4,819	6,061	6,233	5,961	6,146	6,402
Attributable profits	3,170	3,012	3,288	3,898	4,249	2,825	4,003	4,731	5,965	6,134	5,862	6,047	6,303

Source: Company reports and J.P. Morgan estimates.

Table 19: UOB: Annual DuPont

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E
NIM (% of avg. IEA)	1.77%	1.71%	1.77%	1.82%	1.78%	1.57%	1.56%	1.86%	2.09%	2.03%	1.92%	1.83%	1.78%
IEA/Assets	89.3%	89.0%	89.4%	91.6%	93.0%	91.9%	92.0%	93.1%	90.1%	89.8%	90.2%	90.3%	90.3%
Margins (% of avg. Assets)	1.58%	1.52%	1.58%	1.67%	1.66%	1.44%	1.43%	1.73%	1.88%	1.82%	1.73%	1.66%	1.61%
Non-IR contribution	38.8%	38.1%	37.5%	31.8%	34.6%	34.2%	34.7%	27.9%	30.5%	32.3%	34.0%	35.4%	36.2%
Non-IR/Avg. Assets	1.00%	0.94%	0.95%	0.78%	0.87%	0.75%	0.76%	0.67%	0.83%	0.87%	0.89%	0.91%	0.91%
Revenue/Assets	2.58%	2.46%	2.53%	2.44%	2.53%	2.19%	2.20%	2.40%	2.71%	2.69%	2.62%	2.56%	2.52%
Cost/Income	43.9%	45.9%	45.5%	43.9%	44.6%	45.6%	44.1%	43.3%	41.5%	42.5%	42.9%	42.8%	42.2%
C/Assets	1.13%	1.13%	1.15%	1.07%	1.13%	1.00%	0.97%	1.04%	1.12%	1.14%	1.12%	1.10%	1.07%
Pre-Provision ROA	1.45%	1.33%	1.38%	1.37%	1.40%	1.19%	1.23%	1.36%	1.59%	1.55%	1.50%	1.47%	1.46%
LLP/Loans	-0.3%	-0.3%	-0.29%	-0.16%	-0.17%	-0.58%	-0.21%	-0.20%	-0.24%	-0.26%	-0.34%	-0.31%	-0.31%
Loan/Assets	65.3%	66.0%	66.1%	66.7%	66.9%	65.8%	66.5%	65.4%	62.3%	62.1%	63.0%	63.2%	63.7%
Other Income/Assets	0.00%	-0.01%	0.01%	0.03%	0.02%	0.03%	0.02%	0.02%	-0.01%	0.01%	0.02%	0.02%	0.02%
Operating ROA	1.26%	1.16%	1.19%	1.26%	1.29%	0.81%	1.09%	1.23%	1.43%	1.38%	1.29%	1.27%	1.26%
Pre-Tax ROA	1.26%	1.15%	1.20%	1.29%	1.31%	0.85%	1.11%	1.26%	1.42%	1.39%	1.31%	1.29%	1.29%
Tax Rate	-16.5%	-17.7%	-19.0%	-16.7%	-15.7%	-17.1%	-17.2%	-20.2%	-16.8%	-15.4%	-16.5%	-16.5%	-16.5%
Minorities & Outside Int.	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
ROA	1.00%	0.92%	0.94%	1.04%	1.07%	0.68%	0.90%	0.93%	1.09%	1.12%	1.07%	1.06%	1.05%
RoRWA	1.64%	1.45%	1.58%	1.86%	1.90%	1.25%	1.65%	1.73%	2.10%	2.22%	2.18%	2.11%	2.09%
Equity/Assets	8.99%	9.05%	9.25%	9.29%	9.18%	9.06%	8.84%	8.39%	8.18%	8.52%	8.69%	8.62%	8.52%
ROE	11.1%	10.1%	10.2%	11.2%	11.7%	7.5%	10.2%	11.1%	13.4%	13.1%	12.3%	12.3%	12.4%

Source: Company reports and J.P. Morgan estimates.

Quarterly earnings

Table 20: UOB: Quarterly P&L

\$S in million	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E
Interest Income	5,152	5,451	5,692	5,947	5,855	5,706	5,791	5,907	5,710	5,559	5,482	5,520
Interest Expense	(2,743)	(3,014)	(3,263)	(3,543)	(3,493)	(3,305)	(3,331)	(3,456)	(3,301)	(3,207)	(3,134)	(3,162)
Net Interest Income	2,409	2,437	2,429	2,404	2,362	2,401	2,460	2,451	2,409	2,352	2,348	2,358
Non-Interest Income	1,115	1,104	1,027	1,007	1,161	1,075	1,374	1,010	1,248	1,289	1,196	1,142
Net Fee income	552	524	591	568	580	618	630	567	694	715	672	626
Trading income	474	478	375	363	521	406	709	367	466	513	461	463
Other operating income	89	102	61	76	60	51	35	76	88	62	63	54
Total Revenues	3,524	3,541	3,456	3,411	3,523	3,476	3,834	3,461	3,657	3,641	3,544	3,500
Costs	(1,440)	(1,448)	(1,416)	(1,473)	(1,475)	(1,452)	(1,590)	(1,558)	(1,559)	(1,535)	(1,535)	(1,518)
PPOP	2,084	2,093	2,040	1,938	2,048	2,024	2,244	1,903	2,097	2,106	2,009	1,983
Loan loss provisions	(192)	(238)	(151)	(203)	(186)	(194)	(281)	(212)	(290)	(277)	(280)	(315)
Other provisions	18	(132)	(91)	44	16	(44)	(30)	(23)	(7)	0	0	0
Other income	25	26	20	22	26	30	25	40	22	29	37	39
Pre-Tax	1,935	1,749	1,818	1,801	1,904	1,816	1,958	1,708	1,822	1,858	1,767	1,707
Tax	(345)	(208)	(305)	(370)	(317)	(307)	(299)	(219)	(310)	(316)	(301)	(254)
MI & EO	(13)	(34)	(34)	67	(22)	(22)	(22)	51	(22)	(22)	(21)	52
Core Profit	1,577	1,507	1,479	1,498	1,566	1,488	1,638	1,540	1,490	1,520	1,445	1,505
Attributable profit	1,510	1,415	1,382	1,404	1,487	1,424	1,610	1,523	1,490	1,520	1,445	1,505

Source: Company reports and J.P. Morgan estimates.

Table 21: UOB: Quarterly DuPont

	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25E	3Q25E	4Q25E
NIM (% of avg. IEA)	2.14%	2.12%	2.09%	2.02%	2.02%	2.05%	2.05%	2.00%	2.00%	1.93%	1.89%	1.88%
IEA/Assets	90.7%	91.5%	90.3%	90.9%	90.5%	91.3%	90.2%	90.3%	89.8%	89.9%	89.7%	89.6%
Margins (% of avg. Assets)	1.94%	1.94%	1.89%	1.84%	1.83%	1.87%	1.85%	1.81%	1.80%	1.74%	1.69%	1.68%
Non-IR contribution	31.6%	31.2%	29.7%	29.5%	33.0%	30.9%	35.8%	29.2%	34.1%	35.4%	33.7%	32.6%
Non-IR/Avg. Assets	0.89%	0.88%	0.80%	0.78%	0.89%	0.83%	1.04%	0.75%	0.93%	0.95%	0.87%	0.82%
Revenue/Assets	2.80%	2.81%	2.71%	2.63%	2.71%	2.69%	2.90%	2.56%	2.72%	2.69%	2.58%	2.52%
Cost/Income	40.9%	40.9%	41.0%	43.2%	41.9%	41.8%	41.5%	45.0%	42.6%	42.2%	43.3%	43.4%
C/Assets	1.14%	1.15%	1.11%	1.13%	1.14%	1.13%	1.20%	1.15%	1.16%	1.13%	1.12%	1.09%
Pre-Provision ROA	1.66%	1.66%	1.60%	1.49%	1.58%	1.57%	1.70%	1.41%	1.56%	1.55%	1.46%	1.43%
LLP/Loans	-0.24%	-0.30%	-0.19%	-0.25%	-0.23%	-0.24%	-0.34%	-0.25%	-0.34%	-0.32%	-0.32%	-0.36%
Loan/Assets	63.2%	63.0%	62.4%	61.5%	62.0%	63.0%	62.5%	62.2%	63.1%	63.4%	63.2%	63.1%
Operating ROA	1.50%	1.47%	1.48%	1.34%	1.43%	1.42%	1.48%	1.25%	1.34%	1.35%	1.26%	1.20%
Pre-Tax ROA	1.54%	1.39%	1.42%	1.39%	1.47%	1.41%	1.48%	1.27%	1.36%	1.37%	1.28%	1.23%
Tax Rate	-17.8%	-11.9%	-16.8%	-20.5%	-16.6%	-16.9%	-15.2%	-12.8%	-17.0%	-17.0%	-17.0%	-14.9%
Minorities & Outside Int.	-0.01%	-0.03%	-0.03%	0.05%	-0.02%	-0.02%	-0.02%	0.04%	-0.02%	-0.02%	-0.02%	0.04%
Core ROA	1.23%	1.17%	1.13%	1.13%	1.19%	1.13%	1.22%	1.12%	1.09%	1.10%	1.03%	1.07%
ROA	1.18%	1.10%	1.06%	1.06%	1.13%	1.08%	1.20%	1.11%	1.09%	1.10%	1.03%	1.07%
RoRWA	2.29%	2.12%	2.02%	2.02%	2.12%	2.00%	2.36%	2.34%	2.22%	2.21%	2.07%	2.13%
Equity/Assets	8.33%	8.46%	8.19%	8.19%	8.49%	8.66%	8.54%	8.60%	8.89%	9.10%	9.01%	8.77%
Core ROE	14.8%	13.8%	13.8%	13.9%	14.0%	13.1%	14.3%	13.1%	12.3%	12.1%	11.5%	12.2%
ROE	14.1%	13.0%	12.9%	13.0%	13.3%	12.5%	14.0%	12.9%	12.3%	12.1%	11.5%	12.2%

Source: Company reports and J.P. Morgan estimates.

Price Performance



	YTD	1m	3m	12m
Abs	1.2%	4.3%	10.8%	11.1%
Rel	-6.4%	0.7%	-3.2%	-6.7%

Company Data

Shares O/S (mn)	1,662
52-week range (\$\$)	38.92-28.79
Market cap (\$ mn)	47,884
Exchange rate	1.28
Free float (%)	86.1%
3M ADV (mn)	3.18
3M ADV (\$ mn)	87.2
Volatility (90 Day)	25
Index	FTSTI
BBG ANR (Buy Hold Sell)	11 7 0

Key Metrics (FYE Dec)

\$S in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	9,674	9,468	9,434	9,631
Non interest income	4,620	4,876	5,160	5,461
Operating expenses	(6,074)	(6,147)	(6,244)	(6,369)
Adj. PPOP	8,220	8,196	8,349	8,723
Provision for loan losses	(873)	(1,161)	(1,106)	(1,179)
Adj. PBT	7,199	7,155	7,377	7,684
Adj. net income	5,946	5,862	6,047	6,303
Adj. EPS	3.56	3.53	3.68	3.89
BBG EPS	3.59	3.56	3.75	4.02
DPS	2.05	2.01	2.20	2.40
Loans	333,930	347,499	363,610	387,553
Deposits	403,978	414,110	431,469	454,330
Total Assets	537,664	557,243	582,471	613,111
Margins and Growth				
NIM	2.0%	1.9%	1.8%	1.8%
Ratios				
Loan/ Deposit ratio	82.7%	83.9%	84.3%	85.3%
NPL / Loans	1.5%	1.7%	1.7%	1.8%
Coverage	75.5%	74.6%	77.1%	79.5%
CET 1	15.5%	14.9%	14.7%	14.6%
Non-int. income/ Income	32.3%	34.0%	35.4%	36.2%
Cost/Income	42.5%	42.9%	42.8%	42.2%
LLP/Loans	(0.3%)	(0.3%)	(0.3%)	(0.3%)
ROA	1.1%	1.1%	1.1%	1.1%
ROE	13.1%	12.3%	12.3%	12.4%
Valuation				
Dividend yield	5.6%	5.5%	6.0%	6.5%
Adj. P/E	10.4	10.4	10.0	9.5
P/ BV	1.31	1.26	1.20	1.14

Summary Investment Thesis and Valuation

Investment Thesis

We are N on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect that trend to sustain over the medium term. We expect over 12% ROE in the next 2Y, driven by a combination of buyback and a focus on cost management, along with sector-high loan growth (4-7%). However, the shift in rate outlook could lead to lower NIM, which would be a drag.
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$750mn annual buyback over the next 3Y.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state.

Valuation

Our Jun-26 PT of S\$38 is based on a fair P/B of 1.19x with a normalized RoE of 12.2%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

Performance Drivers

Market	19%
Region	55%
Macro	4%
Style	3%
Idiosyn.	20%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.68	0.43
Region: Singapore	0.85	0.83
Macro:		
HSI Volatility Index	-0.43	-0.49
Emerging Economies CPI(YoY)	0.30	0.27
JPM China A-shares Sentiment	-0.16	-0.26
Quant Styles:		
Momentum	-0.03	0.24
Growth	-0.07	0.23
Size	0.25	0.18

Investment Thesis, Valuation and Risks

United Overseas Bank (UOB) *(Neutral; Price Target: S\$38.00)*

Investment Thesis

We are N on UOB.

- UOB has delivered RoE with the least volatility among Singapore banks over the past 20 years. We expect this trend to sustain over the medium term. We expect over 12% ROE in the next 2Y, driven by a combination of buyback and a focus on cost management, along with sector-high loan growth (4-7%). However, the shift in the rate outlook could lead to lower NIM, which would be a drag.
- Management's commitment to 14-14.5% CET1 by 2027 provides visibility on the capital return. This follows the increase in fully phased-in CET1 to 15.2% following Basel IV implementation, which increased the bank's capacity to return capital. We expect S\$750mn annual buyback over next 3Y.
- The Citi acquisition is an important driver of RoE as the bank gets through a phase of investments in 2023-24. UOB's acquisition of Citi assets in Thailand, Indonesia, Malaysia and Vietnam added 3% to loans, 5% to AUM, and ~5% to EPS in steady state.
- Following increased spend in the last 2Y, we expect cost control to be a focus, supporting efficiency improvements.
- We believe valuations appear fair at 10.4x/1.26x 2025E PE/PB, with a 5.5% yield. We expect the ROE trajectory and capital management to drive the stock.

Valuation

Our Jun-26 PT of S\$38 is based on a fair P/B of 1.19x with a normalized RoE of 12.2%, a risk-free rate of 4.5%, a cost of capital of 10.3% and a growth rate of 0.5%.

Risks to Rating and Price Target

Downside risks include worse-than-expected asset quality, growth and NIM disappointment, and lower-than-expected dividends and buyback. Sustained higher operating costs would also be a downside risk. Higher-than-anticipated digital investment spending could be a drag on profitability.

Upside risks include sustained delivery on RoE, cost management post investments in 2023-24, and higher dividend. On PPoP, the bank's ability to manage early wins from its digital investments could lead to positive revisions, and investments coming to fruition earlier than anticipated would pose upside risks to costs.

United Overseas Bank (UOB): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	22,242	23,259	22,271	21,670	21,552	Cash and cash equivalents	0	0	0	0	0
Interest expense	(12,563)	(13,585)	(12,804)	(12,236)	(11,921)	Deposits with banks	87,443	76,009	78,780	84,555	87,855
Net interest income	9,679	9,674	9,468	9,434	9,631	Net loans	317,005	333,930	347,499	363,610	387,553
Non interest income	4,253	4,620	4,876	5,160	5,461	PP&E	4,508	4,852	5,095	5,349	5,563
o/w Fee income	2,235	2,395	2,706	2,869	3,041	Net intangibles	4,984	4,979	4,979	4,979	4,979
o/w Trading income	1,690	2,003	1,903	1,998	2,098	LT investments	90,339	96,625	98,558	100,529	102,539
Net revenues	13,932	14,294	14,343	14,594	15,092	Other assets	19,241	21,269	22,332	23,449	24,622
Non interest expense	(5,777)	(6,074)	(6,147)	(6,244)	(6,369)	Total assets	523,520	537,664	557,243	582,471	613,111
o/w Employee costs	(3,553)	(3,699)	(3,754)	(3,811)	(3,887)	Interest earning assets	498,932	510,465	529,195	553,605	583,448
Pre-Prov. Profits	8,155	8,220	8,196	8,349	8,723	Deposits	385,469	403,978	414,110	431,469	454,330
Provisions	(784)	(873)	(1,161)	(1,106)	(1,179)	Borrowings	68,651	61,102	67,985	72,575	77,003
Adj. PBT	6,953	7,199	7,155	7,377	7,684	Other liabilities	25,680	25,375	26,733	28,172	29,697
Income taxes	(1,228)	(1,140)	(1,181)	(1,217)	(1,268)	Total liabilities	479,800	490,455	508,827	532,216	561,030
Minority interest	(14)	(14)	(14)	(14)	(15)	Shareholder equity	43,478	46,985	48,191	50,032	51,858
Adj. Net profit	5,615	5,946	5,862	6,047	6,303	Minority interests	242	224	224	224	224
PPOP per share	4.87	4.92	4.93	5.09	5.38	Total liabilities and Shareholder equity	523,520	537,664	557,243	582,471	613,111
Reported EPS	3.36	3.56	3.53	3.68	3.89	Interest bearing liabilities	454,120	465,080	482,095	504,044	531,332
Adj. EPS	3.36	3.56	3.53	3.68	3.89	Book Value Per Share	26.00	28.11	29.18	30.68	32.20
DPS	1.70	2.05	2.01	2.20	2.40	Tangible Book Value Per Share	25.85	27.98	29.05	30.54	32.06
Diluted shares outstanding	1,674	1,672	1,661	1,641	1,621						
Balance Sheet Gearing	FY23A	FY24A	FY25E	FY26E	FY27E	Asset Quality/Capital	FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	82.2%	82.7%	83.9%	84.3%	85.3%	Loan loss reserves/Loans	(1.3%)	(1.2%)	(1.2%)	(1.3%)	(1.4%)
Investment/Assets	15.9%	17.6%	17.8%	17.5%	17.0%	NPLs/Loans	1.5%	1.5%	1.7%	1.7%	1.8%
Loan/Assets	62.3%	62.1%	63.0%	63.2%	63.7%	Loan loss reserves/NPLs	85.1%	80.2%	75.1%	75.9%	78.4%
Customer deposits/Liabilities	80.3%	82.4%	81.4%	81.1%	81.0%	NPL y/y growth	(3.8%)	6.0%	13.1%	9.0%	8.7%
LT debt/Liabilities	14.2%	13.4%	12.9%	13.5%	13.7%	Tier 1 ratio	14.4%	16.6%	14.9%	14.7%	14.6%
						CAR	16.6%	18.2%	16.5%	16.2%	16.0%
Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E	Ratio Analysis (%)	FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	2.1%	2.0%	1.9%	1.8%	1.8%	Return on equity (ROE)	13.4%	13.1%	12.3%	12.3%	12.4%
Non interest income/Net revenue	30.5%	32.3%	34.0%	35.4%	36.2%	Return on assets (ROA)	1.1%	1.1%	1.1%	1.1%	1.1%
Non interest income/Avg. Assets	0.8%	0.9%	0.9%	0.9%	0.9%	Operating ROA	1.4%	1.4%	1.3%	1.3%	1.3%
Efficiency ratio	41.5%	42.5%	42.9%	42.8%	42.2%	Pre-Tax ROA	1.4%	1.4%	1.3%	1.3%	1.3%
Leverage ratio	7.8%	8.1%	7.6%	7.6%	7.6%	Pre-Provision ROA	1.6%	1.5%	1.5%	1.5%	1.5%
Revenue/Assets	2.7%	2.7%	2.6%	2.6%	2.5%	Tax rate	17.7%	15.8%	16.5%	16.5%	16.5%
RORWA	2.1%	2.2%	2.2%	2.1%	2.1%						
RWA	275,930	259,835	278,621	294,148	309,621	Net loans y/y growth	0.5%	5.3%	4.1%	4.6%	6.6%
Avg. RWA	267,514	267,883	269,228	286,385	301,885	Assets y/y growth	3.8%	2.7%	3.6%	4.5%	5.3%
Avg. IEA	462,994	476,735	493,839	514,330	540,100	RWA y/y growth	6.5%	(5.8%)	7.2%	5.6%	5.3%
Gross Loans	321,150	337,831	351,857	368,521	393,054	Deposits y/y growth	4.6%	4.8%	2.5%	4.2%	5.3%
Avg. IBL	434,135	434,135	447,347	465,750	489,005	Net interest income y/y growth	16.0%	(0.1%)	(2.1%)	(0.4%)	2.1%
LLR	(4,145)	(3,901)	(4,358)	(4,911)	(5,501)	Revenues y/y growth	20.4%	2.6%	0.3%	1.7%	3.4%
NPLs	4,870	5,164	5,840	6,367	6,920	Adj. EPS y/y growth	25.2%	6.0%	(0.8%)	4.4%	5.5%
P/BV (x)	1.42	1.31	1.26	1.20	1.14	BVPS y/y growth	7.3%	8.1%	3.8%	5.1%	5.0%
Adj. P/E (x)	11.0	10.4	10.4	10.0	9.5	IE assets/Assets	90.1%	89.8%	90.2%	90.3%	90.3%
Dividend yield	4.6%	5.6%	5.5%	6.0%	6.5%	Margins (as % of Avg. Assets)	1.8%	1.7%	1.6%	1.6%	1.5%
Dividend payout	50.7%	57.6%	57.1%	59.7%	61.7%	LLP/Loans	(0.2%)	(0.3%)	(0.3%)	(0.3%)	(0.3%)
						Equity/Assets	8.2%	8.5%	8.7%	8.6%	8.5%
						Cost/Assets	1.1%	1.1%	1.1%	1.1%	1.1%
						Assets/Equity	12.2	11.7	11.5	11.6	11.7

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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DBS Group Holdings (DBSM.SI, DBS SP) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
17-Aug-22	OW	29.37	33
23-Nov-22	N	32.34	34
09-Mar-23	N	30.64	31
30-Mar-23	UW	30.54	27
05-Oct-23	UW	30.20	28
09-Dec-23	UW	28.73	27.5
13-Mar-24	N	30.46	30
03-Jul-24	OW	37.10	41
06-Oct-24	OW	38.04	42
10-Nov-24	OW	42.40	50
11-Feb-25	OW	45.38	51
23-Mar-25	OW	45.31	49
21-May-25	N	44.38	47

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 11, 2001. All share prices are as of market close on the previous business day.

OCBC Bank (OCBC.SI, OCBC SP) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
01-Nov-22	N	12.13	13
06-Jan-23	OW	12.44	14
09-Mar-23	OW	12.55	13.5
30-Mar-23	UW	12.53	11.5
13-Mar-24	UW	13.09	12.5
10-May-24	NR	13.91	--

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 24, 2000. All share prices are as of market close on the previous business day.

United Overseas Bank (UOB) (UOBH.SI, UOB SP) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
02-Aug-22	OW	27.89	34
30-Mar-23	N	29.95	28.5
05-Oct-23	N	28.07	28
09-Dec-23	N	27.58	27
13-Mar-24	N	28.28	30
03-Jul-24	N	31.65	32.5
06-Oct-24	N	31.86	34
10-Nov-24	OW	35.69	41
14-Jan-25	OW	36.80	43
23-Mar-25	N	37.95	40
21-May-25	N	35.40	37

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

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